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EBS/10/80

May 11, 2010

To: Members of the Executive Board

From: The Secretary

Subject: **Senegal—Staff Report for the 2010 Article IV Consultation, Fifth Review Under the Policy Support Instrument, Third Review Under the Exogenous Shocks Facility, Request for Waivers of Nonobservance of Performance Criteria, Modification of Assessment Criterion, and De Minimis Misreporting of Information Under the Policy Support Instrument**

Attached for consideration by the Executive Directors is the staff report for the 2010 Article IV consultation with Senegal, and the fifth review under the Policy Support Instrument, third review under the Exogenous Shocks Facility, Senegal's request for waivers of nonobservance of performance criteria, modification of an assessment criterion, and de minimis misreporting of information under the Policy Support Instrument, which is tentatively scheduled for discussion on **Monday, May 24, 2010**. Draft decisions appear on pages 25–29. Unless an objection from the authorities of Senegal is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication must be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Funke (ext. 38033), Mr. Lakwijk (ext. 38819), and Mr. Gitton (ext. 39347) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Wednesday, May 19, 2010; and to the African Development Bank, the European Commission, the Islamic Development Bank, the Organisation for Economic Cooperation and Development, and the West African Economic and Monetary Union, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

SENEGAL

Staff Report for the 2010 Article IV Consultation, Fifth Review Under the Policy Support Instrument, Third Review Under the Exogenous Shocks Facility, Request for Waivers of Nonobservance of Performance Criteria, Modification of Assessment Criterion, and De Minimis Misreporting of Information Under the Policy Support Instrument

Prepared by the African Department
(In consultation with other departments)

Approved by Roger Nord and Thomas Dorsey

May 7, 2010

Article IV consultation and program discussions were held in Dakar during March 11–25, 2010. The team comprised Mr. Funke (head), Mr. Lakwijk, Mr. Gitton (all AFR), Ms. Sancak (FAD), Mr. Painchaud (SPR), and Ms. Fichera (resident representative). Mr. Sembene (OED) joined the policy discussions. The team met with Finance Minister Diop, Budget Minister Diop, Agriculture Minister Sarr, Energy Minister Sarr, International Cooperation and Infrastructure Minister Wade, BCEAO National Director Diop, other senior government officials, and representatives of development partners and the private sector. The mission cooperated closely with the World Bank.

Seminars and outreach. In two half-day seminars the authorities presented the findings of their studies on (i) competitiveness in the West African Economic and Monetary Union (WAEMU); (ii) intertemporal budget constraints and their impact on growth; and (iii) the impact on growth of the state's arrears to the private sector. The team made presentations on (i) liquidity management; (ii) fiscal risks and debt sustainability; (iii) competitiveness of the Senegalese economy; (iv) the role of the banking sector in government financing; and (v) the revised debt sustainability framework. The mission met with representatives of parliament, trade unions, and civil society organizations.

Article IV consultations. The discussions centered on how to regain sustained economic growth after the external and domestic shocks of the past two years.

Fifth PSI and third ESF reviews. Staff recommends their completion. All but one quantitative assessment/performance criteria have been met and most structural conditionality has been observed. Staff supports the authorities' request for waivers for nonobservance of the assessment/performance criterion on the fiscal balance because of corrective actions taken by the authorities.

Exchange restrictions and regime. Senegal, a member of the WAEMU, accepted the obligations under Article VIII, Sections 2(a), 3 and 4 of the Fund's Articles of Agreement as of June 1, 1996, and maintains an exchange system free of restrictions on the making of payments and transfers for current international transactions. The WAEMU's exchange regime is a conventional peg to the euro.

Contents	Page
Executive Summary	5
I. Recent Developments and Short-term Outlook: Economic Activity May Have Bottomed Out	6
II. Program Performance	8
III. Policy Discussions: Regaining Growth Momentum	9
A. Overview	9
B. Gradually Reducing Fiscal Stimulus	13
C. Fully Normalizing Relations with the Private Sector	14
D. Reaping the Benefits of Public Investment	14
E. Boosting Competitiveness and Growth Through Accelerated Structural Reforms	16
IV. Program Issues	21
V. De Minimis Misreporting	21
VI. Staff Appraisal	23
Tables	
1. Selected Economic and Financial Indicators, 2007–15	30
2. Balance of Payments, 2007–15	31
3. Government Financial Operations, 2007–15	32
4. Government Financial Operations, 2007–15	33
5. Monetary Survey, 2005–10	34
6. Financial Soundness Indicators for the Banking Sector, 2002–09	35
7. Quantitative Assessment Criteria (Performance Criteria) and Indicative Targets for 2010	36
8. Indicators of Capacity to Repay the Fund, 2009–20	37
9. Millennium Development Goals	38
Figures	
1. Recent Macroeconomic Developments, 2003–09	7
2. Comparing Macroeconomic Projections	10
3. Senegal, WAEMU, and SSA: Macroeconomic Developments and Outlook, 2004–10	11
4. Medium-Term Outlook, 2009–15	12
5. Exchange Rate and Structural Competitiveness	18
6. Financial Sector Issues	20

Boxes

1. Senegal's Reactions to Past IMF Advice.....	9
2. Extrabudgetary Spending and Public Institution/Agency Debt.....	15
3. Assessment of the REER and External Competitiveness.....	17
4. Key Medium-Term Policy Issues	23

Appendix I. Letter of Intent	39
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Attachment I. Memorandum of Financial Policies	41
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Attachment II. Technical Memorandum of Understanding.....	55
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Appendix II Public Information Notice	62
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List of Acronyms

AFD	French development agency
AIDB	Airport project company
ARMP	Procurement regulatory authority
ASTER	Expenditure accounting system
BCEAO	Central Bank of West African States
BC-WAMU	Banking Commission of the West African Monetary Union
CIRR	Commercial interest reference rate
CPIA	Country Policy and Institutional Assessment
CFAF	CFA Francs
DCMP	Central public procurement directorate
DSA	Debt Sustainability Analysis
DGID	Taxes, land and property general directorate
ECF	Extended Credit Facility
ESF	Exogenous Shocks Facility
FDI	Foreign Direct Investment
FNR	Civil servants pension scheme
FSIPP	Specific surcharge on petroleum products
FSAP	Financial Sector Assessment Program
GDP	Gross Domestic Product
ICS	Phosphoric acid production company
IGF	Office of the Inspector General of Finance
MCA	Millennium Challenge Account
MDG	Millennium Development Goals
MDRI	Multilateral Debt Relief Initiative
MEFP	Memorandum of Economic and Financial Policies
NFA	Net Foreign Assets
NIR	Net International Reserves
NPV	Net present value
NPL	Non-performing loan
PC	Performance criterion
PEFA	Public Expenditure and Fiscal Accountability
PFM	Public financial management
PPP	Public Private Partnership
PRGF	Poverty Reduction and Growth Facility
PRSP	Poverty Reduction Strategy Paper
PSI	Policy Support Instrument
REER	Real effective exchange rate
SAR	Oil refinery company, partly government-owned
SDR	Special Drawing Rights
SENELEC	Government-owned electricity company
SIGFIP	Integrated public financial management system
SSA	Sub-Saharan Africa
TMU	Technical Memorandum of Understanding
TOFE	State financial operations table
VAT	Value-added tax
WAEMU	West African Economic and Monetary Union

Executive Summary

The external and domestic shocks of the past few years contributed to a major loss in output. Senegal needs to accelerate structural reforms to regain its growth momentum. In a difficult environment, program performance has been mixed on the macroeconomic front but satisfactory on the structural side.

Signs of an emerging recovery: Recent indicators of activity, credit growth, and government revenues suggest that growth may have bottomed out. Real GDP growth, which averaged about 2 percent in 2008 and 2009, is expected to pick up to close to 3½ percent in 2010. Consumer price inflation, which was negative in the second half of 2009, is expected to return gradually to its long-run trend of about 2 percent.

Raising growth as a policy priority: The oil, food, and financial crises, coupled with domestic shocks, have contributed to a significant output loss. Improving nonprice competitiveness will be crucial to regaining growth momentum. Authorities and staff agreed that Senegal must accelerate structural reforms in the business climate, governance, the energy sector, and the financial sector to boost competitiveness and growth. In line with findings for the WAEMU, three different approaches suggest that the real effective exchange rate may be modestly overvalued but the estimates are within the normal margin of error.

Broadly satisfactory program performance: All but one quantitative assessment/performance criteria were met. The missed criterion on the fiscal balance points to continued weaknesses in public financial management. Structural reforms were generally satisfactory. With the authorities' firm commitment to further public financial management reforms, on balance staff recommends completion of the fifth PSI and the third and last ESF reviews and granting waivers of nonobservance for the assessment/performance criterion on the fiscal balance because of corrective actions taken by the authorities. Staff also recommends that a case of misreporting under the PSI and ESF arrangement be addressed under the *de minimis* procedures.

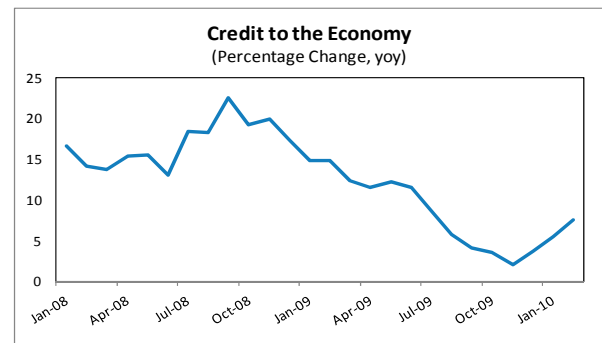
Persistent risks: Risks to growth and the program relate to unexpectedly subdued external demand, financing constraints that limit the fiscal room for maneuver, and renewed problems with electricity supply. Opportunistic changes in economic policies for political reasons could also dampen prospects.

I. RECENT DEVELOPMENTS AND SHORT-TERM OUTLOOK: ECONOMIC ACTIVITY MAY HAVE BOTTOMED OUT

1. **Following the food and fuel price shocks in 2008, economic activity slowed further in 2009 because of the global economic downturn and domestic shocks, including temporary electricity shortages** (Figure 1, Tables 1–5).

- *Economic growth.* Real GDP growth is estimated to have been 1½ percent in 2009 (Table 1). Lower external demand and downward pressure on remittances, tourism receipts, and foreign direct investment (FDI) have reduced growth. The agricultural sector, which benefited from supportive policies and favorable weather, helped to mitigate the impact of depressed demand at home and abroad on the secondary sector (construction, energy) and particularly the tertiary sector (transport, tourism services).
- *Inflation.* The drop in crude oil and food prices pushed down consumer prices. Inflation has been negative since the second half of 2009.
- *Fiscal balance.* The overall fiscal deficit widened to 5.1 percent of GDP in 2009 from 3.7 percent of GDP two years earlier on account of lower tax revenues and higher expenditure.
- *Balance of payments.* The decline in the 2009 current account deficit reflected mainly lower energy and food imports as export performance (outside the recovering chemicals sector) was subdued (Table 2). The global economic downturn caused FDI to recede.¹

2. **There are signs that economic activity has bottomed out.** Real GDP growth is projected to reach 3½ percent in 2010. The industrial activity index and credit growth to the economy, which had been declining during most of 2009, started to pick up toward year-end. Inflation should return gradually to 2 percent.

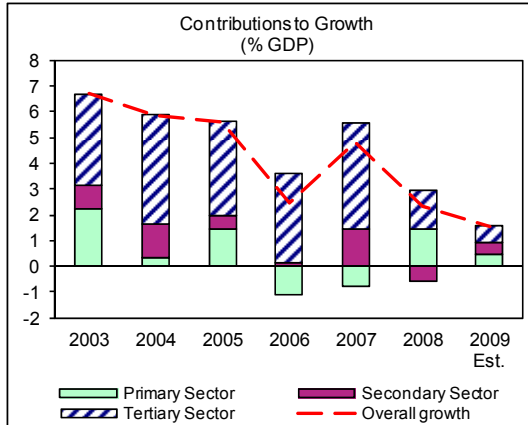


3. **Uncertainties about the short-term outlook persist.** Risks to growth mainly relate to sluggish external demand, financing constraints that limit the fiscal room for maneuver, and renewed problems with electricity supplies. Opportunistic changes in economic policies for political reasons could also dampen growth prospects. On the positive side, a faster than expected pickup in global activity could have positive spillover effects.

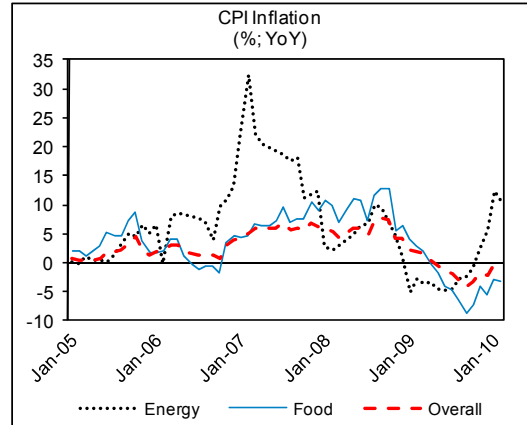
¹ Notably, Arcelor-Mittal suspended its US\$2.2 billion projected investment in an iron ore project.

Figure 1. Senegal: Recent Macroeconomic Developments, 2003–09

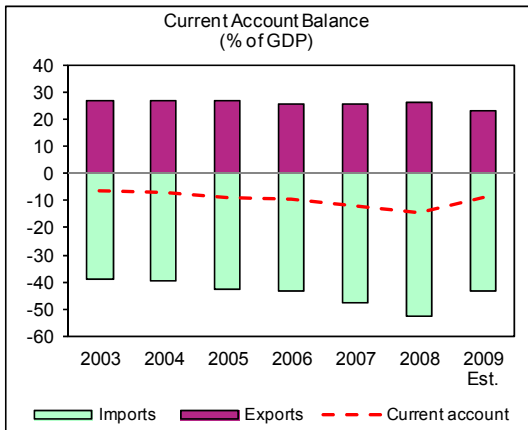
Economic growth slowed further in 2009 despite progress with the settlement of government payment delays as the world economic crisis affected the country.



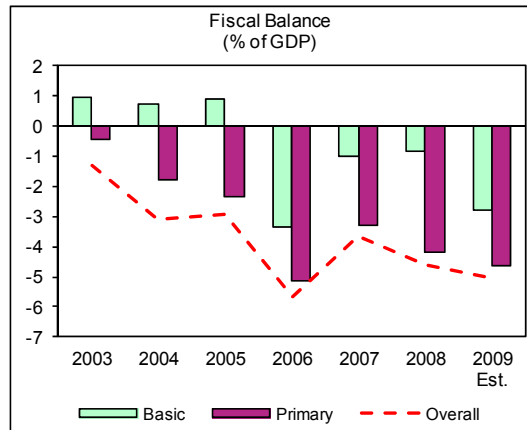
Inflation was negative in the second half of 2009 as food and energy prices declined.



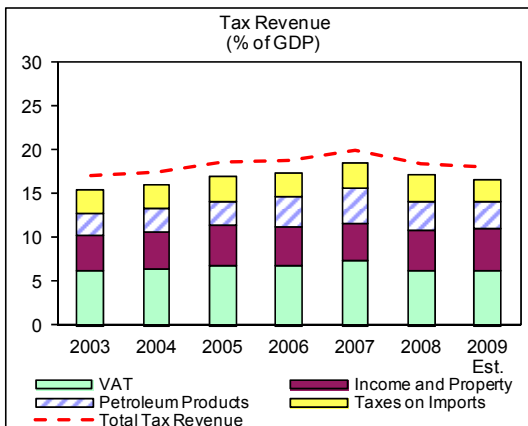
The current account deficit narrowed due to lower imports, partly related to reduced fuel and food prices.



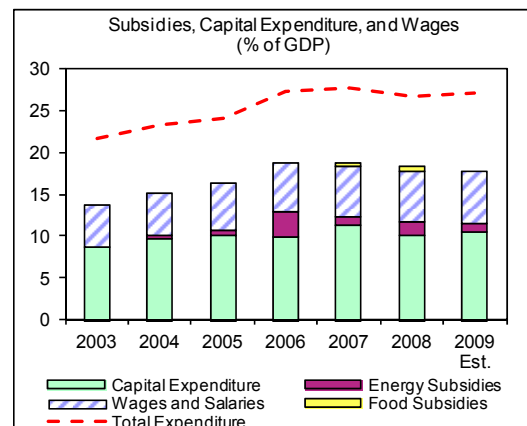
Fiscal policy has been eased in 2008/2009.



While tax collections came under pressure...



...spending increased.



Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

II. PROGRAM PERFORMANCE

4. **Macroeconomic performance has been mixed.** All quantitative performance/assessment criteria through end-December 2009 except the one for the (basic) fiscal balance were met. Revenues fell short, mostly due to tax arrears of agencies and other public entities. But current expenditure, which was well below program objectives during the first 9 months of 2009, was also higher than programmed (Tables 3 and 4). The authorities explained that they had to pay higher utility bills and use supplemental appropriation decrees (*décrets d'avance*) totaling some 0.5 percent of GDP, signed by the President and Prime Minister and permitted for emergency measures by the 2001 organic law, including to pay contractuels in the education sector. As a result, the end-2009 basic fiscal deficit was $\frac{3}{4}$ percent of GDP higher than targeted (Table 7). While staff appreciated the authorities' increased financial monitoring of public entities in 2010 in view of their tax arrears, staff stressed that the authorities should budget sufficient amounts for essential spending and should have reduced other non-priority expenditure to maintain the budget deficit target. To minimize the risks of higher than initially budgeted current spending, the authorities expressed their intention to offset future supplemental expenditures. This year's budget, for the first time, has a contingency reserve for unforeseen current expenditure. These actions increase the authorities' spending control and form the basis for the waiver request for the missed end-December 2009 performance/ assessment criterion.

MEFP ¶4, 16, 17

5. **Performance on the structural side has been satisfactory (Text Table 1) and structural benchmarks for the fifth review have generally been met.** The authorities have issued a press statement on the settlement of extrabudgetary commitments, but some details of the modalities still need to be spelled out. They also elaborated action plans to promote the financial sector and reduce tax expenditures. Planned structural reforms focus on public financial management, settlement of remaining extrabudgetary commitments and agency debt, and tax policy.

MEFP ¶5

Text Table 1. Structural Benchmarks, December 2009–March 2010

Policy Measures	Target Date	Status
1. Stop issuing 2009 payment orders.	December 31, 2009	Met
2. Issue a press release summarizing the results of the audit of extrabudgetary commitments and agency debt, the government's strategy for settling payments in the first supplementary budget for 2010 submitted to parliament no later than May 15, 2010, and the settlement procedures.	January 31, 2010	Partly met
3. Draw up an action plan to suppress tax expenditures with a significant budgetary impact that are ineffective or inefficient, with the aim of incorporating the first changes in the 2011 budget.	March 31, 2010	Met
4. Prepare consolidated action plan to implement FSAP recommendations.	March 31, 2010	Met

III. POLICY DISCUSSIONS: REGAINING GROWTH MOMENTUM

A. Overview

6. **Article IV consultation discussions centered on how to return to higher growth and reduce vulnerabilities to shocks.** At the time of the last Article IV consultation, medium-term economic growth was expected to average about 5½ percent, but annual growth averaged only about 2 percent for 2008–2009 which likely implies a permanent output loss (Figure 2). While Senegal has put in place policies that are consistent with past staff advice (Box 1), structural reform has proved more challenging in part because of the difficult external environment. Progress towards the MDGs has been mixed (Table 9). The successive shocks have complicated the implementation of the authorities' poverty reduction strategy and possibly reversed earlier gains in poverty reduction. While the recent period has shown the limits of existing institutions and policies to help the poor cope with such shocks, the authorities have reaffirmed their commitment to achieve the PRS long-term objectives through the implementation of their reform agenda and higher growth. Work on their PRSP-3 is ongoing and will likely be finalized by the end of the year. Higher growth will be vital if Senegal is to reduce poverty and continue to make significant progress toward the MDGs.

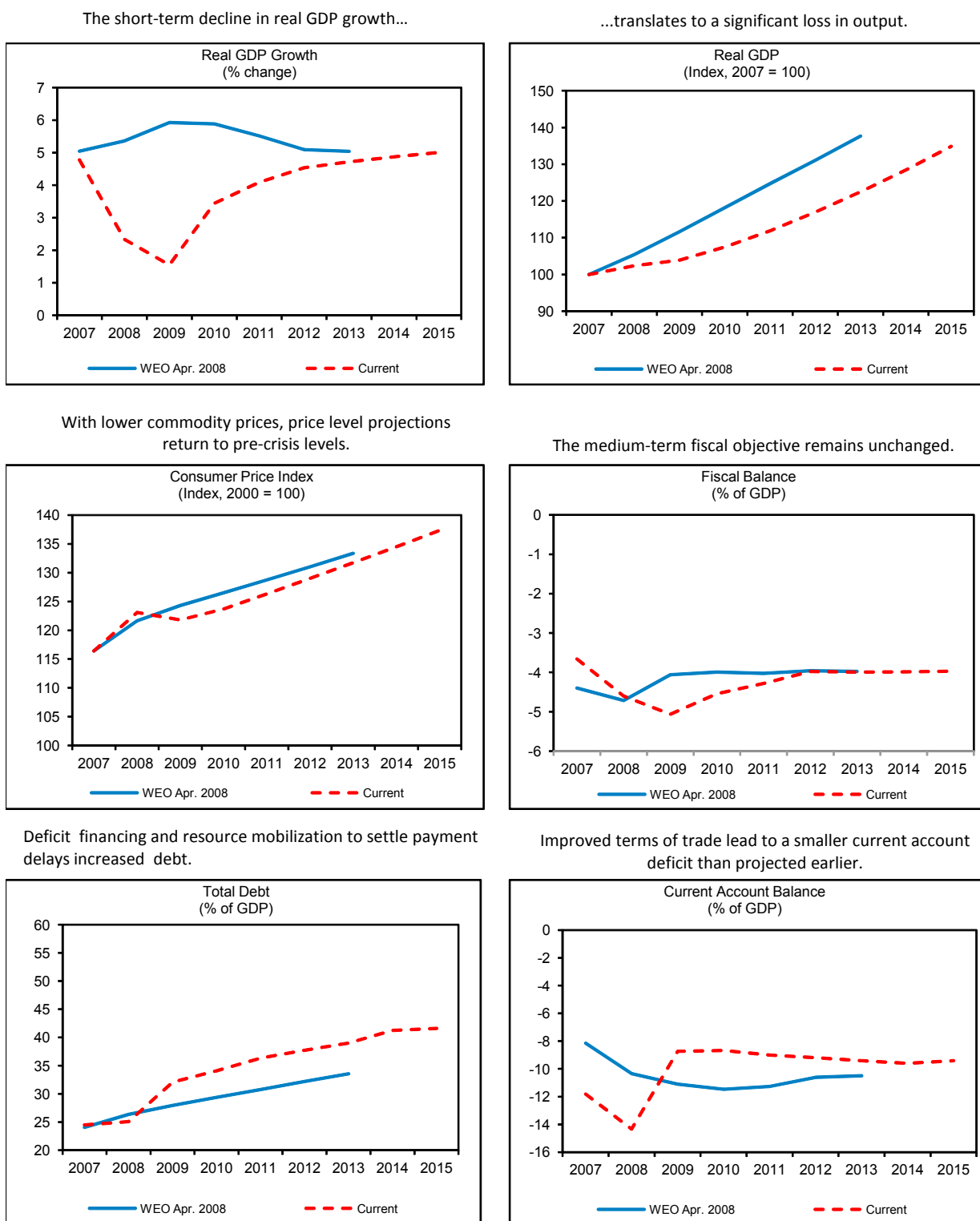
Box 1. Senegal's Reactions to Past IMF Advice

Senegal and the IMF have a very good working relationship. The country's policies have been generally consistent with IMF recommendations, as reflected in the completion of past ECF (formerly known as PRGF) arrangements and the first four PSI reviews. Authorities and staff generally agree on the main bottlenecks to higher growth. The authorities aim to create a more investment-friendly business environment to foster private sector development.

The authorities acted upon the policy recommendations, particularly in the fiscal area, from the 2008 Article IV consultation and subsequent technical assistance. As was recommended, they corrected much of the fiscal slippages. To reduce the risk of future slippages, the authorities have applied their budget framework more rigorously. In line with the PSI-supported program commitments, they have substantially reduced unpaid bills to the private sector and launched far-reaching PFM reforms. But progress in some structural reforms, outside the Fund's core expertise and not covered by benchmarks, including related to the energy sector and the business climate, has been mixed.

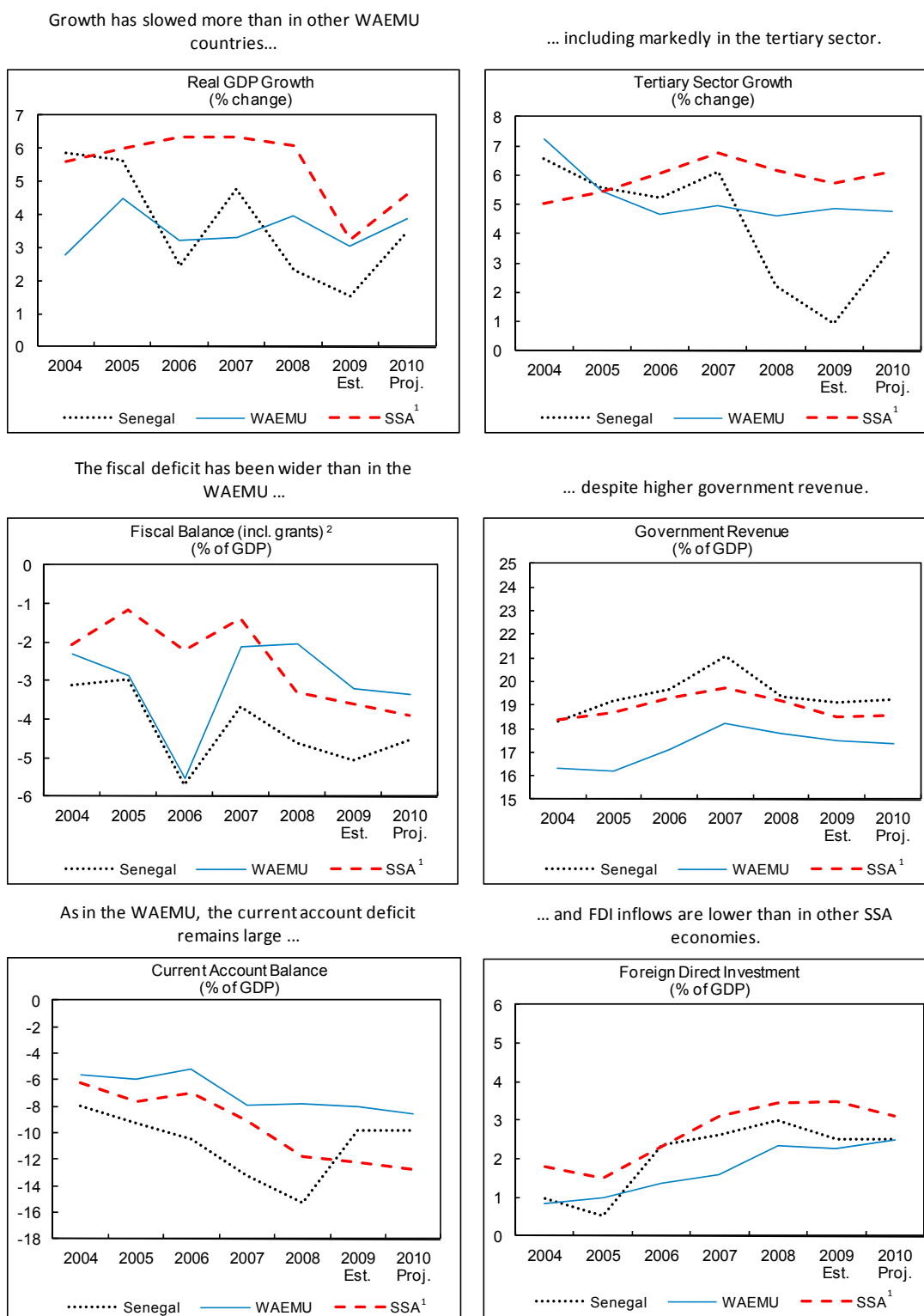
7. **Staff and authorities agreed that several complementary policies need to be put in place to regain Senegal's growth momentum and return to previous growth trajectories** (Figures 3 and 4): (i) maintaining supportive macroeconomic policies; (ii) fully and expeditiously normalizing relations with the private sector; and (iii) accelerating structural reforms to overcome such bottlenecks as cumbersome business procedures, governance issues, frequent electricity outages, and limited access to finance.

Figure 2. Senegal: Comparing Macroeconomic Projections



Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

Figure 3. Senegal, WAEMU, and SSA: Macroeconomic Developments and Outlook, 2004–10



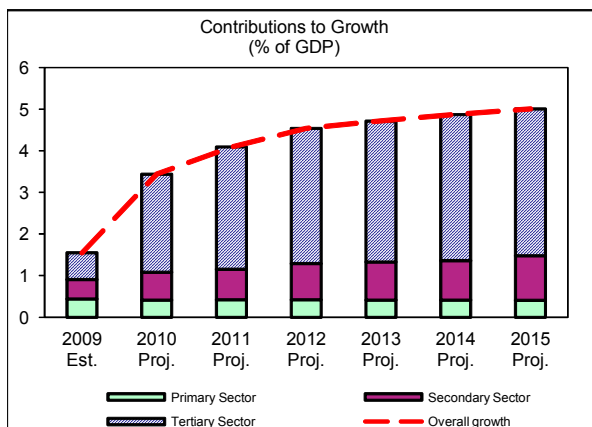
Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

¹ Excludes SSA countries classified as Oil-Exporters and South Africa.

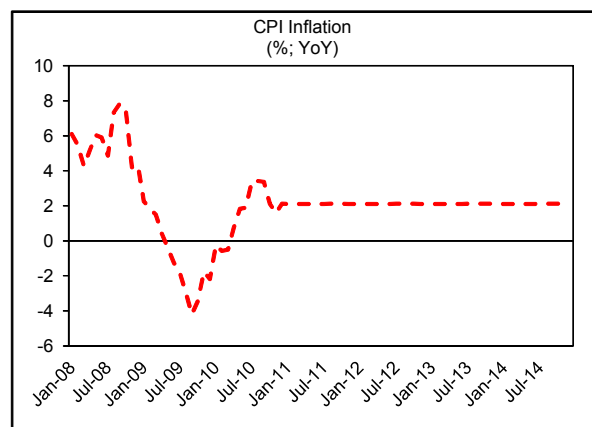
² For 2006, fiscal balance excluding grants for WAEMU and non-oil SSA to eliminate effect of MDRI relief.

Figure 4. Senegal: Medium-Term Outlook, 2009–15

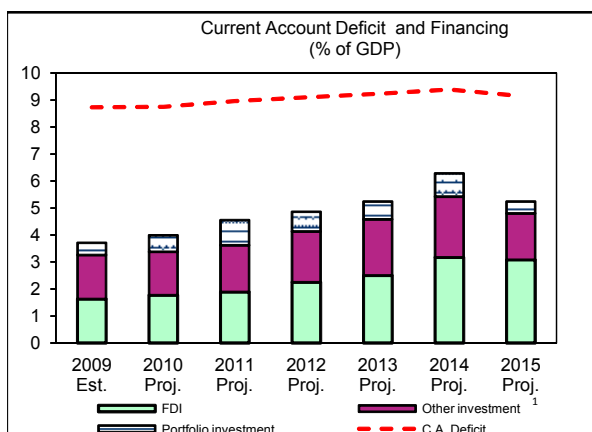
Output growth is projected to be driven by the services sector, recovery in ICS' production, and construction related to large investment projects.



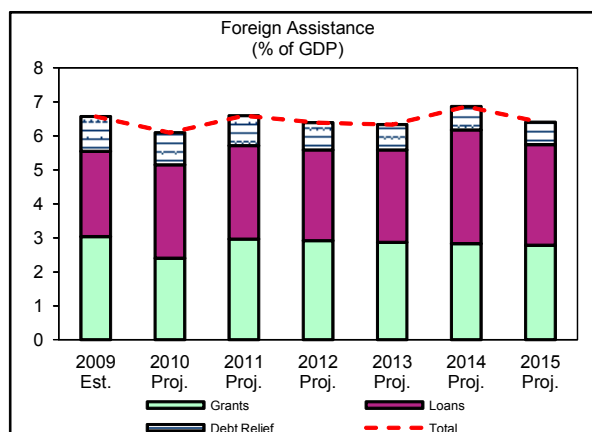
Inflation is projected to return to historical trends in the context of WAEMU membership and in the absence of renewed energy and food price pressures.



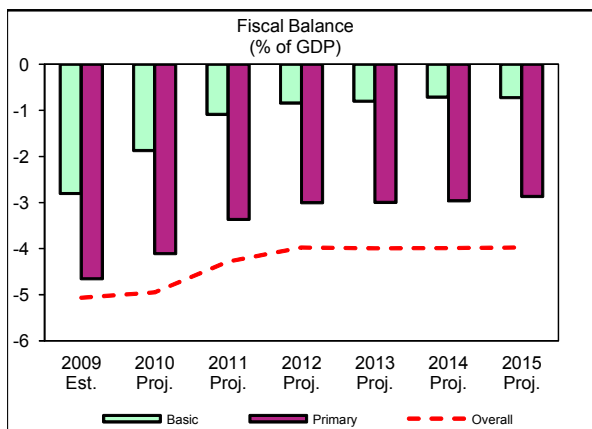
The current account deficit is projected to be financed in part by private flows ...



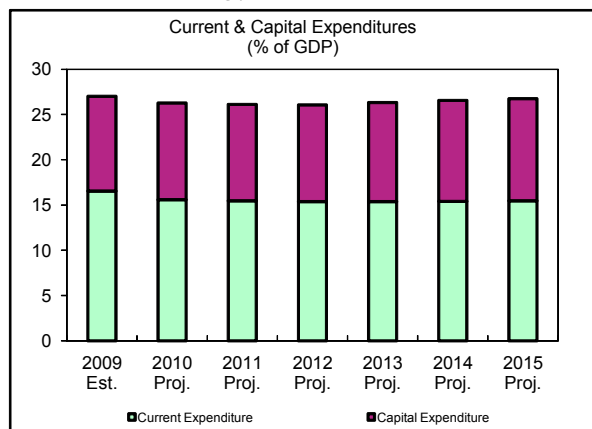
...while the economy remains dependent on foreign assistance.



The fiscal balance will be contained...



...by controlling current expenditure while over time allowing public investment to rise.



Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

¹ Includes only private other investment.

B. Gradually Reducing Fiscal Stimulus

8. **With a higher than expected fiscal deficit in 2009, financing constraints, and signs of a pick-up in activity, authorities and staff concurred that the fiscal stimulus should be gradually reduced to progressively achieve a medium-term deficit target of 4 percent of GDP (and somewhat less in the long run).** To contain the deficit, the authorities expressed their commitment to reduce current expenditure and reinforce efforts to bring in more revenue (including through preparing for tax expenditure rationalization— structural benchmark). To finance the deficit, they plan to tap the regional market several times this year. It appears that tax revenues started to recover in early 2010, and regional liquidity is high. But because of uncertainties about whether these developments will persist, the authorities have agreed to slow expenditure (mostly investment) by about ½ percent of GDP.² Authorities and staff concurred that expenditure could be raised back to the budgeted level later in the year, if revenue collection permits or additional financing becomes available through privatization proceeds. To minimize liquidity and financing risks, staff encouraged the authorities to update their treasury and bond issuance plans more often. A gradual reduction in the fiscal deficit will help move Senegal back onto the path of meeting WAEMU convergence criteria in the medium term.

MEFP ¶8, 12

MEFP ¶23

MEFP ¶20, 21

Senegal: Compliance with WAEMU Convergence Criteria				
	2007	2008	2009	2010
				Proj.
Primary criteria				
Basic fiscal balance/GDP (≥ 0 percent)	-1.0	-0.8	-2.8	-1.5
Average inflation (≤ 3 percent)	5.9	5.8	-1.1	1.6
Total debt/GDP (≤ 70 percent)	24.5	25.1	32.1	34.1
Change in domestic arrears (≤ 0)	0.0	0.0	0.0	0.0
Change in external arrears (≤ 0)	0.0	0.0	0.0	0.0
Secondary criteria				
Wages and salaries/fiscal revenue (≤ 35 percent) 1/	28.7	30.2	32.5	32.3
Domestically financed capital expenditure/fiscal revenue (≥ 20 percent)	34.4	27.3	32.9	32.9
Current account deficit, excluding grants/GDP (≤ 5 percent)	13.2	15.3	9.8	9.8
Fiscal revenue/GDP (≥ 17 percent)	21.1	19.4	18.7	19.4

Sources: Senegalese authorities; and Fund staff estimates and projections.

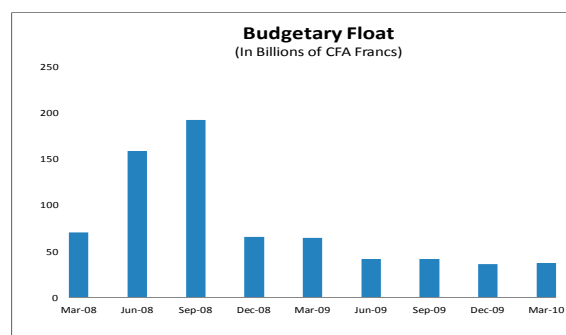
1/ Excluding some contractual wages not classified in the wage bill.

² Regularization of extrabudgetary spending and public institution/agency debt in the May 2010 supplementary budget continues to be recorded below the line and excluded from the fiscal balance for program purposes (and in Tables 3 and 4) pending finalization of modalities. To the extent that it will eventually be recorded above the line, the fiscal deficit will increase.

C. Fully Normalizing Relations with the Private Sector

9. The authorities have made more progress in normalizing financial relations with the private sector than was expected during the last program reviews (Box 2).

Representatives of the private sector confirmed that past payment delays are being addressed. In addition to advancing with the settlement of extrabudgetary spending and public institution and agency debt, the stock of unpaid bills within the regular expenditure chain has been kept at normal levels since mid-2009 (quantitative



performance / assessment criterion on the budgetary float).³ Tight monitoring and management of unpaid bills within the expenditure chain (budgetary float) is important for improving cash flow supervision and preventing budgetary slippages. Staff stressed that liquidity needs to be better managed so that normal fluctuations in the flow of revenues and expenditures can be absorbed without recourse to abrupt spending halts or arrears; to this end, a census of government accounts will be completed (structural benchmark).

10. The authorities reiterated their commitment to speedily regularize the remaining extrabudgetary spending and public institution/agency debt through a transparent and publicly communicated process.

This should bring financial relations between the government and the private sector back to normal. The supplementary budget to be submitted to parliament by mid-May 2010 will incorporate further regularization, consistent with the authorities' commitment to pay down at least 50 percent of extrabudgetary spending and public institution / agency debt by the end of September 2010 (structural benchmarks). To help prevent a recurrence of payment issues vis-à-vis the private sector, the SIGFIP budget system continues to be improved (structural benchmark), and financial relations between the Treasury and public institutions/agencies have been strengthened.

MEFP ¶9,10

MEFP ¶17,18

D. Reaping the Benefits of Public Investment

11. The authorities are putting more emphasis on public investment to support economic development and diversification. With the support of donors, the authorities are giving priority to extending and modernizing transport infrastructure to facilitate access to markets. Several large infrastructure projects are progressing, including the Blaise Diagne International Airport, the Dakar-Diamniadio toll road, other road projects, and modernization of the port of Dakar. Plans for other new important projects, such as the establishment of a special economic zone, conversion of the current airport into a business complex, road construction, and water distribution and housing projects, are in various stages of development. The

³ See Box 1 of the last Staff Report (EBS/09/203).

Box 2. Extrabudgetary Spending and Public Institution/Agency Debt

The government's financial relations with the private sector are returning to normal as extrabudgetary spending and public institution/agency debt are settled. Of the estimated total of CFAF 119 billion, CFAF 37 billion was found to be intragovernmental (taxes and social security contributions) and to have no impact on the private sector. Out of the remaining total of CFAF 82 billion (1½ percent of GDP) of extrabudgetary spending and public institution/agency debt vis-à-vis the private sector, CFAF 35 billion was settled in 2009 and at least half of the remainder will be paid by September 2010.

- Of the extrabudgetary spending by ministries of CFAF 36 billion (⅓ percent of GDP) that the July 2009 audit identified, some CFAF 10 billion has been regularized in the 2009 and 2010 budgets, and the first supplementary budget for 2010 will regularize the remainder (mid-May structural benchmark).
- Public institution/agency debt to the private sector amounted to CFAF 45 billion (¾ percent of GDP), of which two-thirds was paid in late 2009 when an easing cash position allowed the Treasury to unblock amounts due. The remaining one-third is to be settled in 2010–11.

authorities noted that these projects would support economic diversification, help reduce poverty,⁴ and lessen Senegal's vulnerability to external shocks.

12. **The authorities plan to look at a variety of financing options for their new infrastructure projects.** They intend to hold a donors' conference on infrastructure financing and seek economic profitability assessments for their projects. Following the issuance in December 2009 of a US\$200 million bond with a five-year maturity for the Dakar-Diamniadio toll road, the authorities inquired about possible room for additional external nonconcessional financing. Staff stated that nonconcessional borrowing for Senegal should for the time being stay linked to specific projects that have been assessed as economically profitable by a reputable source, for which sufficient concessional financing or financing in the regional market could not be mobilized. Projects must be analyzed case by case. But given Senegal's low risk of debt distress, confirmed by the latest Bank-Fund debt sustainability analysis (DSA), there should in principle be some space for nonconcessional financing for new infrastructure projects as long as they do not jeopardize Senegal's debt sustainability. Untied limits could become possible after PFM improves.

MEFP ¶13, 14

13. **Staff stressed that investment projects should be selected and prioritized based on rigorous economic cost-benefit analyses.** Careful assessments, including analysis of maintenance costs, would make it

MEFP ¶22

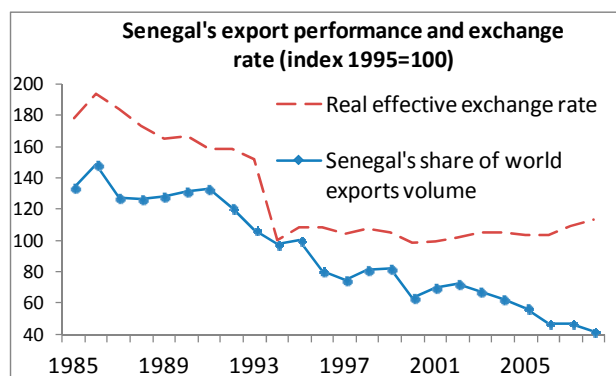
⁴ The livelihood of about half the population is still closely tied to subsistence agriculture.

easier to select the highest-return projects and help raise the productivity of government spending. Progress in this domain could be instrumental in improving Senegal's capacity to manage its finances, for example as reflected in the PEFA (Public Expenditure and Fiscal Accountability) assessment and CPIA (Country Policy and Institutional Assessment).

E. Boosting Competitiveness and Growth Through Accelerated Structural Reforms

Price and Structural Competitiveness

14. **Despite a significant devaluation in 1994, Senegal's export performance has been weak.** Its share of world export volumes has been declining gradually since the mid-1980s, though recently production improvements at ICS (phosphoric acid) have slowed the decline.



15. **While Senegal's real effective exchange rate (REER) has appreciated over the past two years, there is no conclusive evidence that the exchange rate is overvalued.** This conclusion is consistent with a recent regional external stability assessment that found the WAEMU region's REER not to be misaligned. It is based on an analysis of possible real exchange rate misalignment undertaken using three complementary approaches (Box 3 and Figure 5). Senegal's competitiveness could be raised by improving the business environment and governance.

MEFP ¶29-30

Energy Sector Reform

16. **Temporary electricity shortages add to the cost of doing business and fiscal risks.** Since 2006 power shortages and blackouts in Senegal have been frequent. The high cost and poor quality of electricity supplies appear to be a major impediment to private investment.⁵ The national electricity company, SENELEC, has been recapitalized in 2007 (CFAF 65 billion) and in 2008 (CFAF 37 billion). But technical failures persist, leading to higher production costs, constraints in fuel supply, delays in putting in place energy-saving measures, tax arrears, and weaknesses in internal governance.

17. **Staff stressed that the government's reform plan, in collaboration with the Bank and other donors, needs to be fully and promptly implemented to limit fiscal and economic risks.** The plan builds on a wide range of measures, including restructuring of SENELEC's short-term debt, fresh financing, some tax breaks on new investment, and cost-recovering tariff adjustments. SENELEC will need to be made financially sound on a permanent basis to ensure adequate electricity distribution. Electricity production, transportation, and distribution are expected to be separated in the future.

MEFP ¶24-26

⁵ Senegal ranks 113 out of 133 countries for quality of electricity supply in World Economic Forum, *Global Competitiveness Report 2009–2010*.

Box 3. Assessment of the REER and External Competitiveness

While Senegal's real effective exchange rate (REER) has appreciated by almost 14 percent since 1994, there is no conclusive evidence that the exchange rate is overvalued, and the recent depreciation of the euro has reduced pressure. An analysis of possible real exchange rate misalignment was undertaken using three complementary approaches:

Macroeconomic balance: The current account deficit “norm” is estimated at 5.5–6.0 percent of GDP, while the “underlying” current account deficit is estimated at 9¼ percent of GDP, consistent with the projected current account balance over 2012–15.¹ Assuming a trade balance elasticity for small countries of –0.71, the difference between the norm and the “underlying” current account indicates that the REER is overvalued by 5 percent.²

Equilibrium exchange rate: A comparison of the current value of the REER and an estimate of its equilibrium value indicates that the real effective exchange rate is close to its equilibrium.³

External sustainability: Assuming a negative net international investment position of 50 percent of GDP, Senegal's current account deficit norm would be about 3.5 percent of GDP. This norm is consistent with a REER overvaluation of about 8 percent. However, the most recent DSA suggests that a larger current account deficit is sustainable given the projected FDI inflows and the concessionality of external financing.

To improve its competitiveness, Senegal needs a better business environment. While its ranking in the Global Competitiveness Report has recently improved, Senegal still ranks 92 out of 133 countries. Areas of weakness the report identified include: (i) higher education and training; (ii) labor market efficiency; (iii) financial market sophistication; (iv) market size; and (v) health and primary education. The World Bank *Doing Business Report 2010*, in which Senegal ranked 157 out of 183 countries, highlights the need for improvement in the cost of doing business in Senegal in areas such as: (i) hiring workers; (ii) registering property; (iii) protecting investors; and (iv) paying taxes.

Senegal could also improve its competitiveness by enhancing its governance. In the latest CPIA of the World Bank, Senegal ranked 57 out of 75 low-income countries, and areas for improvement are: (i) social protection and labor; (ii) quality of budget and financial management; and (iii) transparency, accountability, and corruption control in the public sector.

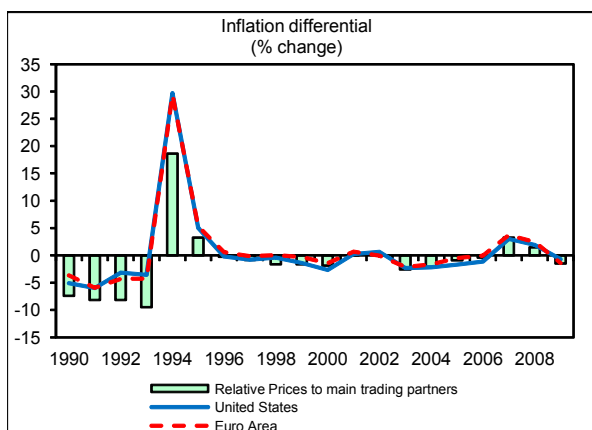
¹ See Vitek, 2010, *Exchange Rate Assessment Toolkit* (IMF internal document). The current account norm is based on a panel regression of the current account on a set of fundamentals, including: (i) relative old-age dependency; (ii) relative population growth; (iii) relative income; (iv) relative income growth; (v) oil trade balance; (vi) relative fiscal balance; (vii) initial net foreign assets; (viii) aid flows; and (ix) remittances flows.

² See Tokarick, 2009, *A Method For Calculating Export Supply and Import Demand Elasticities*, mimeo.

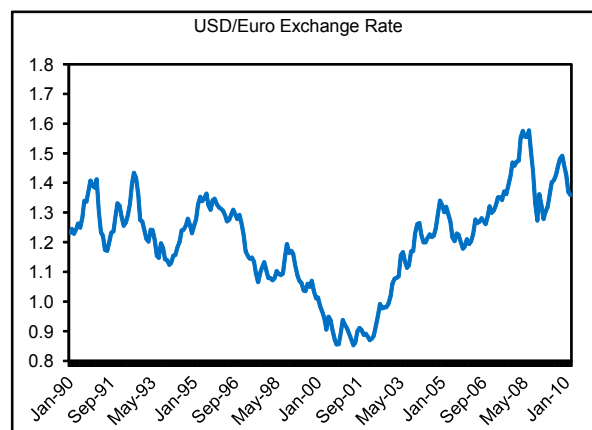
³ See Mongardini and Rayner, 2009, “Grants, Remittances, and the Equilibrium Real Exchange Rate in Sub-Saharan African Countries,” IMF Working Paper. The equilibrium value of the REER is based on a panel regression of the REER on a set of fundamentals: (i) terms of trade; (ii) trade openness; (iii) relative productivity; and (iv) relative government consumption.

Figure 5. Senegal: Exchange Rate and Competitiveness

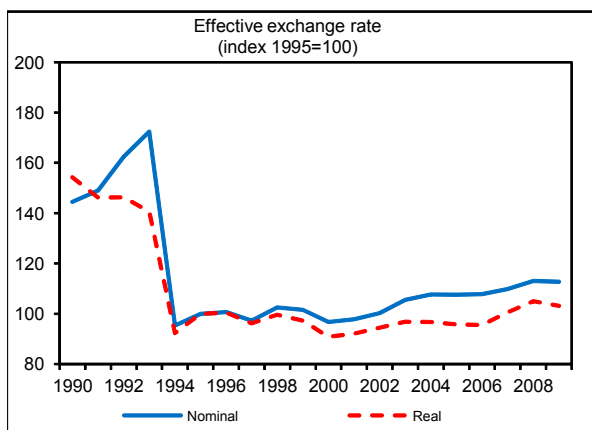
While inflation remained on average close to trading partners...



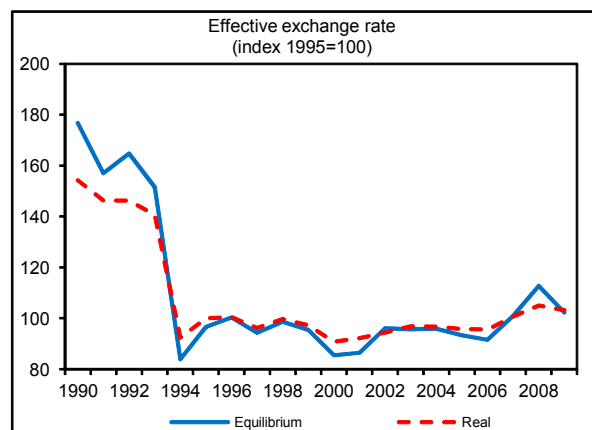
... the appreciation of the euro...



... has contributed to a moderate nominal and real effective exchange rate appreciation...



... but the real effective exchange rate remains close to its equilibrium.



Raising competitiveness rests on enhancing institutions and infrastructure...

Global Competitiveness Index		
	2008/2009	2009/2010
Overall ranking	96	92
Institutions	83	77
o/w Transparency of gov. policy making	118	121
o/w Diversion of public funds	122	114
Infrastructure	83	80
o/w Quality of electricity supply	118	113
o/w Quality of roads	78	78
o/w Quality of railroad infrastructure	93	89
Health and primary education	109	108
o/w Primary enrollment	120	122
Labor market efficiency	120	110
o/w Rigidity of employment	118	121
Financial market sophistication	111	110
o/w Ease of access to loans	133	129
Number of countries	134	133

... as well as the business climate.

Doing Business Indicators		
	2009	2010
Overall ranking	152	157
Starting a business	94	102
Dealing w ith construction permits	121	124
Employing w orkers	173	172
Registering property	164	166
Getting credit	147	150
Protecting investors	164	165
Paying taxes	173	172
Trading across borders	64	57
Enforcing contracts	150	151
Closing a business	80	80
Number of countries	181	181

Sources: IMF staff calculations and estimates; World Economic Forum; and World Bank.

Financial Sector Reform

18. **The global crisis has had negligible effects on the banking system, but the sector is affected by the slowdown in economic growth.** Bank loan quality has deteriorated because of domestic economic conditions. As in other countries in the WAEMU region, compliance with prudential requirements has historically been mixed (Tables below). But most banks are on track to meet the higher minimum capital requirements by December 2010. The authorities are assessing the position of credit institutions likely to encounter difficulties in complying with the new rules and proposing targeted measures. Some private sector participants saw a need to review some prudential requirements (e.g., on the maturity matching of assets and resources), which may be too conservative and hinder market development.

Financial Soundness Indicators for the Banking Sector, 2002–09
(Percent)

	2002 Dec.	2003 Dec.	2004 Dec.	2005 Dec.	2006 Dec.	2007 Dec.	2008 Dec.	2009 Dec.
Regulatory capital to risk-weighted assets	15.5	12.1	11.9	11.1	13.1	13.6	13.9	16.5
Loans to 5 largest borrowers to capital	104.9	141.0	131.4	179.9	103.7	88.5	86.9	88.1
Gross NPLs to total loans 1/	18.5	13.3	12.6	11.9	16.8	18.6	19.1	18.7
NPLs net of provisions to total loans 1/	5.5	3.3	3.4	3.2	8.8	8.6	9.3	9.7
NPLs net of provisions to capital 1/	30.7	27.8	25.1	27.2	67.9	60.7	63.9	62.3
Total deposits to total liabilities	78.5	82.0	79.6	78.3	75.8	73.6	70.3	74.9

1/ Changes in 2006 due to ICS. It was recapitalized in 2008 but past provisions remain in place.

Number of Banks Non-Compliant with Prudential Standards

	Dec-02	Dec-03	Dec-04	Dec-05	Dec-06	Dec-07	Dec-08	Dec-09
Minimum capital 1/	2	1	1	1	1	1	0	2
Capital adequacy 2/	2	2	2	2	2	2	2	2
Large exposures and concentration 3/	2	6	6	8	5	6	8	6
Liquidity 4/	1	3	1	4	4	4	4	5
Transformation (stable resources) 5/	5	3	4	3	4	6	6	6
Number of Banks	11	11	12	14	17	17	17	17

Source: BCEAO and BC-WAMU

1/ Capital equity > CFAF 1 billion.

2/ Regulatory capital/risk-weighted assets > 8 percent.

3/ (i) Loans to a single borrower/regulatory capital < 75 percent; (ii) Sum of all risks reaching 25 percent of regulatory capital < 8 times regulatory capital.

4/ Assets with residual term of less than 3 months/liabilities with residual term of less than 3 months > 75 percent.

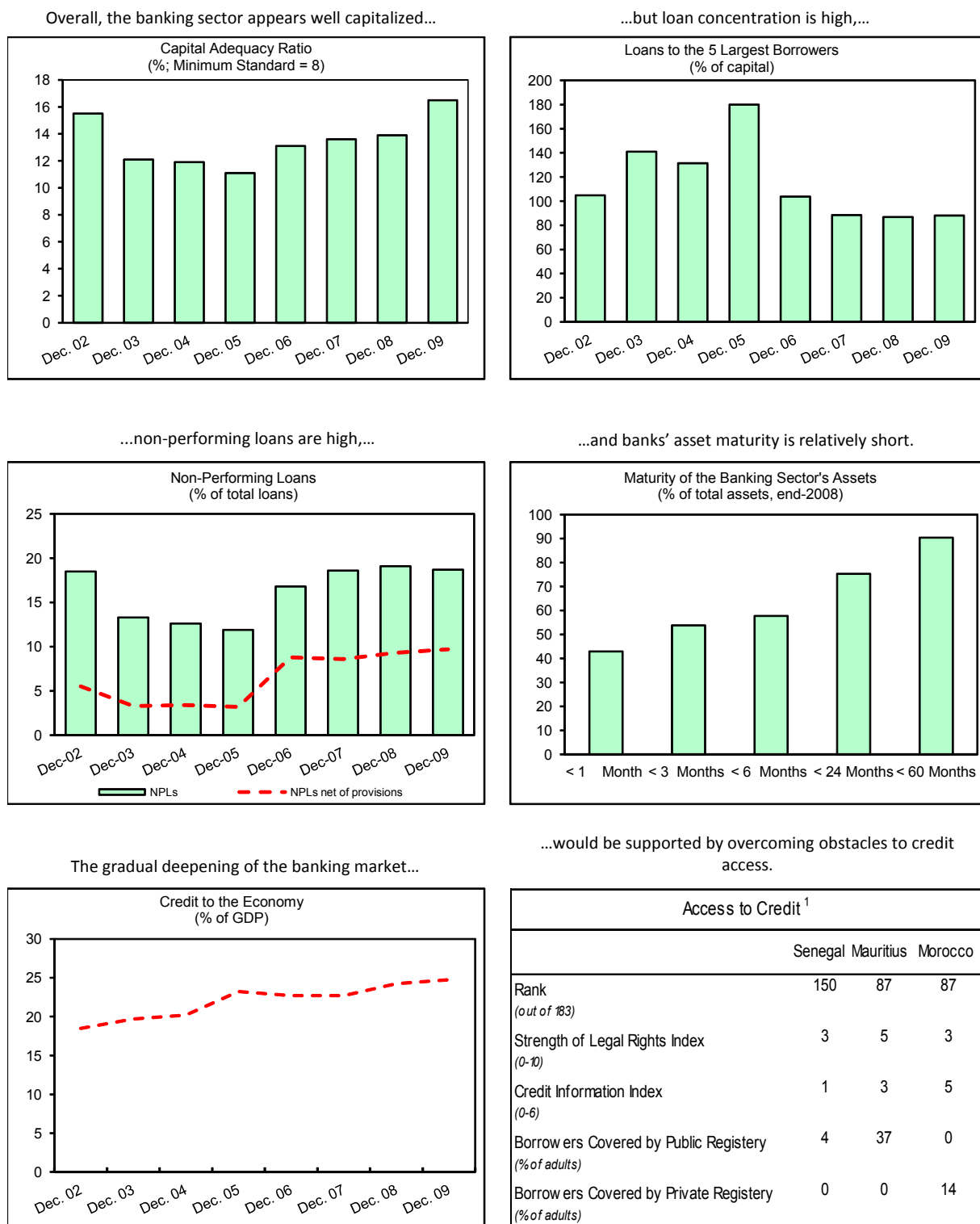
5/ Resources with residual term of more than 2 years/assets with residual term of more than two years > 75 percent.

19. **Stress tests by the authorities suggest the banking system may have some resilience to large credit shocks.** Based on December 2009 data, if credit quality worsened and provisioning needed to increase by 50 percent, the global capital adequacy of the banking system would deteriorate by less than 1 percentage point, and no additional bank would violate the regulation on the minimum capital adequacy ratio. Even if nonperforming loans increased by 25 percent, the capital adequacy ratio of the banking system as a whole would be well above the 8 percent threshold at 14.5 percent, although a third bank would breach the regulation.

20. **Authorities and staff saw scope to improve the contribution of the financial sector to investment and long-run growth** (Figure 6).

MEFP ¶27-28

Figure 6. Senegal: Financial Sector Issues



Sources: Senegalese authorities; World Bank; and IMF staff calculations and estimates.

¹ Doing Business 2010.

Surveys of firms identify inadequate access to finance as the leading constraint to private sector development in Senegal.⁶ The authorities have taken stock of various reform initiatives in an updated consolidated financial sector action plan (completed structural benchmark), taking into account progress since the 2004 national FSAP and the 2007 regional FSAP. The action plan lists a number of decisions to be taken in 2010–2011 to further improving the institutional, legal, and operational environment of the financial sector, including increasing the rate of bank penetration, while at the same time guarding against vulnerabilities.

IV. PROGRAM ISSUES

21. **The appended Letter of Intent and accompanying Memorandum of Economic and Financial Policies outlines the authorities' policy objectives for the remainder of 2010.**

Quantitative assessment criteria for end-June 2010 are shown in Table 1 and structural measures in Table 2 of Appendix I (see also Text Table 2). The thrust of the structural measures remains unchanged.

22. **The program includes an adjuster for the basic fiscal balance if additional privatization revenues materialize.** In that case, the floor on the basic fiscal balance will be adjusted downward by up to CFAF 35 billion. The adjuster would help the authorities to sustain their original spending plans. Any additional privatization receipts could support new infrastructure projects in next year's budget.

23. **The program faces risks, notwithstanding the authorities' commitment to their program.** These risks include continued revenue shortfalls, liquidity shortages in the regional market, delays in implementing domestic reforms, and institutional and policy changes in the run-up to elections intensifying spending pressures. Increased vigilance with the contracting of external loans is also needed, in particular because two Ministers have signature authority for external loans.

24. **The future relationship between Senegal and the Fund was discussed.** The PSI ends in early November. The authorities and staff expect continued close collaboration. Discussions on a future program will take place closer to that time (Box 4).

V. *DE MINIMIS* MISREPORTING

25. **A case of misreporting took place in the context of the fourth PSI and the second ESF reviews, which staff recommends to be addressed under the *de minimis* misreporting procedures.** This case of misreporting stems from a deviation from the concessionality threshold for an external loan. The loan, which was contracted in September 2009, is equivalent to 0.09 percent of GDP. The grant element of the loan was 33.97 percent while the program requirement is 35 percent. The continuous assessment/performance criterion for the fourth PSI and second ESF reviews on nonconcessional external debt was therefore not observed. Staff considers the deviation so small as to be trivial, with no impact on the assessment of Senegal's

⁶ World Economic Forum, *Global Competitiveness Report 2009–2010*.

Text Table 2. Structural Benchmarks, May–October 2010

Measures	MEFP §	Implementation Date	Macroeconomic Rationale
1. Submit a supplementary budget for 2010 to Parliament, based on the macroeconomic framework agreed with IMF staff, which includes the specific line items authorizing the Ministry of Finance to settle in 2010 the extrabudgetary arrears of the ministries and public institutions and agencies and part of the public institution and agency debt identified in the July 2009 audit and not yet budgeted for. Any debt settlement not requiring a budget allocation will be presented in an annex to the supplementary budget. This process is accompanied by a press release explaining the settlement terms and conditions.	5, 9	May 15, 2010	Complete the normalization of financial relations with the private sector.
2. Improve SIGFIP by including payroll expenditure and implementing the SIGFIP-ASTER interface.	18	July 31, 2010	Strengthen the monitoring of budget execution.
3. Conduct a census of all accounts of general government and public institutions, including the number, name of the holder, and the balances as of December 31, 2008 and 2009, for each account, with a view to adopting a strategy for establishing a single Treasury account.	20	July 31, 2010	Improve liquidity management and the transparency of operations.
4. Complete payment of at least 50 percent of extrabudgetary arrears and public institution and agency debt identified in the July 2009 audit.	9	September 30, 2010	Complete normalization of financial relations with the private sector and improve the business climate.
5. Publish a press release reporting on the results of the internal audit, summarizing progress made to clear the extrabudgetary commitments and public institution and agency debt, and detailing steps taken to complete this process.	10	September 30, 2010	Complete normalization of financial relations with the private sector and improve the business climate.
6. Compile the general tax code and all legislation governing domestic taxation in a single document.	23	October 15, 2010	Further simplify the tax system.

Box 4. Key Medium-Term Policy Issues

Key issues are to accelerate growth, reduce vulnerabilities to shocks, and protect the most vulnerable. The following reform areas will play a key role, and part of these could form cornerstones for a next program with the Fund:

- *Continued PFM reforms*: Significant progress has been made since late 2008, but further public financial management reforms remain essential for more effective expenditure planning and control.
- *Raising tax revenues*: While already high in a regional perspective, the authorities aim to increase tax revenues above 20 percent of GDP. Higher revenues, supported by further strengthening tax and customs administrations, rationalizing tax expenditure, and eventually other tax reform measures, would increase the fiscal space for priority spending.
- *Expenditure composition and quality of spending*: The authorities' emphasis on the importance of public investment, including infrastructure development, would be supported by improved investment planning and a well-developed debt management strategy.
- *Private sector development*: Further reforms to support private sector development, including in the business climate and governance, are essential for raising growth and central to the authorities' efforts. The energy and financial sectors will need to play a supportive role.

performance under the PSI/ESF program and on Senegal's debt sustainability. The authorities have acknowledged their mistake and asked their counterpart to renegotiate the loan, which has not yet been disbursed, in order to make it concessional. The authorities also indicated their commitment that going forward the Ministry of Finance would cooperate more closely with staff when considering the contracting or guaranteeing of new nonconcessional debt. For these reasons, staff recommends that the case of misreporting be addressed under the *de minimis* procedures for both the PSI and the ESF arrangement and that with respect to the ESF arrangement, a waiver for nonobservance of the performance criterion on nonconcessional external debt be granted.

VI. STAFF APPRAISAL

26. **There are signs that Senegal's economy has started to recover.** Growth is projected to reach 3½ percent in 2010, driven by a pick-up in external demand and supportive domestic economic policies.

27. **While the risks of debt distress are low, the authorities will need to gradually reduce the fiscal stimulus to reach a deficit target of 4 percent of GDP in the medium term and somewhat less in the longer run,** which is consistent with debt sustainability.
28. **A swift and transparent settlement of extrabudgetary spending and agency debt is essential.** Fast settlement will support the recovery and the authorities' fiscal objectives of raising growth-enhancing public investments and sheltering priority spending.
29. **Raising Senegal's growth potential requires faster action on the authorities' plans,** which specify improvements in nonprice competitiveness through a better business climate and governance. In the energy sector, which is critical for growth, the plan, supported by the Bank and other donors, needs to be implemented quickly to limit supply bottlenecks and fiscal risks.
30. **The contribution of the financial sector to growth needs to be enhanced.** As the financial sector action plan makes clear, it is essential to improve the institutional, legal, and operational environment while at the same time guarding against vulnerabilities. The space for greater financing by the financial sector of the government should be examined.
31. **While program implementation on the macroeconomic side has been mixed, solid progress has been made on the structural side.** The staff recommends that the waiver for the nonobservance of the performance/assessment criterion on the fiscal balance be granted and the fifth review of the PSI and the third and last review of the ESF arrangement be completed. The 2010 budget includes a contingency reserve, and the authorities are committed to making every effort in the future to offset any increase in expenditure related to supplemental appropriation decrees (*décrets d'avance*) by reducing nonpriority spending.
32. **It is recommended that the next Article IV consultation take place within 24 months, subject to the provisions of the decision on consultation cycles in program countries.**

PROPOSED DECISIONS

The following decisions, which may be adopted by a majority of the votes cast, are proposed for adoption by the Executive Board.

I. Completion of the Fifth Review under the PSI for Senegal

1. Pursuant to paragraph 8 of Decision No. 13561-(05/85), 10/05/05 and paragraph 1(d) of the Policy Support Instrument (“PSI”) for Senegal (EBS/07/114, 10/11/07), the Fund has conducted a review to assess program implementation.

2. The letter dated May 7, 2010 from the Minister of State and the Minister of Economy and Finance (the “May 2010 Letter”) together with its Memorandum of Economic and Financial Policies (the “May 2010 MEFP”) and the Technical Memorandum of Understanding (the “May 2010 TMU”), shall be attached to the PSI for Senegal, and the letter from the Minister of State and the Minister of Economy and Finance dated October 3, 2007 together with its attachments, as subsequently amended, shall be read as supplemented and modified by the May 2010 Letter and its attachments.

3. Accordingly, the PSI for Senegal shall be amended as follows:

- a. In paragraph 2.A.(1) of the PSI for Senegal, “December 2009 MEFP” and “December 2009 TMU” shall be replaced by “May 2010 MEFP” and “May 2010 TMU”, respectively; and

- b. In paragraph 2.G. of the PSI for Senegal, “December 2009 MEFP” and “December 2009 TMU” shall be replaced by “May 2010 MEFP” and “May 2010 TMU”, respectively.
- 4. The Fund
 - a. waives the nonobservance of the quantitative assessment criterion on the basic fiscal balance set out in paragraph 2.F. of the PSI for Senegal and
 - b. completes the fifth review specified in paragraph 1(d) of the PSI for Senegal, on the condition that the information provided by Senegal on (i) its performance under the nonobserved assessment criterion, and (ii) its performance under other assessment criteria related to this review, is accurate.

II. Completion of the Third Review under the ESF arrangement for Senegal

1. Senegal has consulted with the Fund in accordance with paragraph 3.B.(b) of the Exogenous Shocks Facility (ESF) arrangement (the “Arrangement”) for Senegal (EBS/08/144, 12/8/08) in order to review program implementation.
2. The letter dated May 7, 2010 from the Minister of State and the Minister of Economy and Finance (the “May 2010 Letter”), together with its Memorandum of Economic and Financial Policies (the “May 2010 MEFP”) and the Technical Memorandum of Understanding (the “May 2010 TMU”), shall be attached to the Arrangement, and the letter dated December 5, 2008 from the Minister of Budget, together with its attachments, as subsequently amended, shall be read as supplemented and modified by the May 2010 Letter and its attachments.
3. Accordingly, the Fund decides that the third review contemplated in 3.B.(b) of the Arrangement is completed, and that Senegal may request the disbursement of the fourth loan referred to in paragraph 2(d) of the Arrangement, notwithstanding the nonobservance of the December 31, 2009 performance criterion on the basic fiscal balance as set out in paragraph 3.B.(a)(i) of the Arrangement, on the condition that the information provided by Senegal on the performance under this criterion is accurate.

III. Waiver for Noncomplying Disbursement

1. The Fund notes the findings and recommendations of the Managing Director set forth in EBS/10/80, 5/11/10 on the noncomplying disbursement made to Senegal on December 23, 2009 following the completion of the second review under the Exogenous Shocks Facility Arrangement for Senegal (EBS/08/144, 12/8/08), and in particular the recommendation to waive the nonobservance of the continuous performance criterion on nonconcessional external debt, on the grounds that this nonobservance was the result of a *de minimis* deviation.
2. Accordingly, the Fund decides to waive Senegal's nonobservance of the continuous performance criterion on nonconcessional external debt that gave rise to the noncomplying disbursement, on the condition that the information provided by Senegal as the basis for this decision is accurate.

IV. Misreporting of Information Under the Policy Support Instrument

1. The Fund notes the findings and recommendations of the Managing Director set forth in EBS/10/80, 5/11/10 on the provision of inaccurate information by Senegal in the context of the completion on December 22, 2009 of the fourth review under the three-year Policy Support Instrument for Senegal (EBS/07/114, 10/11/07), and in particular the recommendation that the nonobservance of the continuous assessment criterion on nonconcessional external debt is *de minimis* in nature.
2. Accordingly, the Fund decides that the misreporting had no effect on program performance.

Table 1. Senegal: Selected Economic and Financial Indicators, 2007–15

	2007	2008	2009	2010		2011	2012	2013	2014	2015
			Est.	Prog.	Proj.			Proj.		
(Annual percentage change)										
National income and prices										
GDP at constant prices	4.8	2.3	1.5	3.4	3.4	4.1	4.5	4.7	4.9	5.0
Of which: nonagriculture GDP	6.3	1.1	1.1	3.4	3.4	4.1	4.6	4.8	5.0	5.1
GDP deflator	5.4	7.3	-0.5	2.1	2.1	2.1	2.1	2.1	2.1	2.1
Consumer prices										
Annual average	5.9	5.8	-1.1	1.8	1.6	2.1	2.1	2.1	2.1	2.1
End of period	6.2	4.3	-2.2	2.2	2.1	2.1	2.1	2.1	2.1	2.1
External sector										
Exports, f.o.b. (CFA francs)	-3.7	23.0	-15.2	14.6	17.6	9.3	7.1	8.4	7.5	7.5
Imports, f.o.b. (CFA francs)	19.5	25.8	-20.4	10.8	10.3	6.7	7.1	7.9	7.9	6.7
Export volume	6.1	-14.6	9.9	10.5	5.2	5.9	6.0	6.6	6.2	5.9
Import volume	21.5	11.3	-5.3	5.1	4.6	4.9	6.7	6.4	6.5	6.2
Terms of trade ("–" = deterioration)	-2.9	12.2	-1.0	-1.6	4.8	1.7	0.9	0.7	0.1	0.7
Nominal effective exchange rate	1.9	2.9	-0.2	...	...	...	...	...	...	...
Real effective exchange rate	5.3	4.4	-1.7	...	...	...	...	...	...	...
(Changes in percent of beginning-of-year broad money, unless otherwise indicated)										
Money and credit										
Net domestic assets	8.6	6.2	6.1	13.0	10.1	10.0	9.0	9.2	10.5	7.3
Domestic credit	11.5	7.3	6.8	13.4	10.0	10.3	9.2	9.4	10.7	7.6
Credit to the government (net)	4.9	-3.5	4.2	8.3	4.7	4.2	3.0	2.8	3.9	0.8
Credit to the economy (percentage growth)	10.5	17.2	3.6	7.5	7.8	9.4	9.7	10.4	11.0	11.1
(Percent of GDP, unless otherwise indicated)										
Government financial operations										
Revenue	21.1	19.4	18.7	19.6	19.4	19.6	19.9	20.1	20.4	20.6
Grants	2.6	2.4	3.0	2.3	2.4	2.2	2.2	2.2	2.2	2.2
Total expenditure and net lending	27.6	26.6	27.1	26.9	26.3	26.1	26.1	26.3	26.6	26.7
Overall fiscal surplus (+) or deficit (–)										
Payment order basis, excluding grants	-6.2	-7.0	-8.1	-7.3	-6.9	-6.5	-6.2	-6.2	-6.2	-6.2
Payment order basis, including grants	-3.7	-4.6	-5.1	-4.9	-4.5	-4.3	-4.0	-4.0	-4.0	-4.0
Primary fiscal balance 1/	-3.3	-4.2	-4.7	-4.1	-4.1	-3.4	-3.0	-3.0	-3.0	-2.9
Basic fiscal balance 2/	-1.0	-0.8	-2.8	-1.9	-1.9	-1.1	-0.8	-0.8	-0.7	-0.7
Gross domestic investment	34.5	33.8	28.5	30.9	29.1	29.8	30.2	31.0	31.7	32.3
Government	11.2	10.0	10.5	11.2	10.7	10.6	10.7	10.9	11.2	11.3
Nongovernment	23.3	23.8	18.1	19.6	18.5	19.2	19.5	20.1	20.5	21.0
Gross domestic savings	12.1	7.3	8.5	11.8	9.6	10.6	11.3	12.4	12.8	13.7
Government	7.1	5.0	5.4	7.3	7.2	7.4	7.8	8.1	8.3	8.5
Nongovernment	4.9	2.3	3.1	4.5	2.5	3.2	3.4	4.3	4.5	5.1
Gross national savings	22.7	19.5	19.8	21.0	20.4	20.9	21.1	21.8	22.3	23.1
External current account deficit (–)										
Including current official transfers	-11.8	-14.3	-8.7	-9.9	-8.7	-9.0	-9.1	-9.2	-9.4	-9.2
Excluding current official transfers	-13.2	-15.3	-9.8	-10.8	-9.8	-9.9	-10.0	-10.2	-10.3	-10.1
Central government domestic debt 3/	6.6	5.3	8.1	7.0	8.6	10.2	11.1	11.9	13.3	13.0
External public debt (nominal) 3/ 4/	17.9	19.8	24.0	26.1	27.1	27.8	28.5	29.1	28.9	29.6
External public debt service 4/										
Percent of exports	3.4	2.8	3.8	4.2	4.8	6.6	6.3	6.0	9.4	5.2
Percent of government revenue	4.2	3.8	4.8	4.8	6.2	8.5	8.0	7.6	11.8	6.5
Gross domestic product (CFAF billions)	5,405	5,935	5,999	6,336	6,345	6,742	7,197	7,696	8,241	8,836

Sources: Senegalese authorities; and IMF staff estimates and projections.

1/ Defined as total revenue and grants minus total expenditure and net lending, excluding interest expenditure.

2/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure, on-lending, HIPC and MDRI spending, and 2010 clearing of extrabudgetary spending and agency debt.

3/ Debt outstanding at year-end.

4/ After HIPC and MDRI (from 2006) debt relief.

Table 2. Senegal: Balance of Payments, 2007–15

	2007	2008	2009	2010	2011	2012	2013	2014	2015
			Est.				Proj.		
(CFAF billions, unless otherwise indicated)									
Current account	-638	-850	-524	-555	-604	-655	-710	-774	-809
Balance on goods	-1,193	-1,523	-1,159	-1,217	-1,274	-1,365	-1,468	-1,589	-1,686
Exports, f.o.b.	803	988	838	985	1,076	1,153	1,250	1,343	1,443
Imports, f.o.b.	-1,996	-2,510	-1,997	-2,202	-2,350	-2,518	-2,717	-2,931	-3,129
Services and incomes (net)	-64	-82	-64	-56	-62	-43	-16	-15	-17
Credits	671	709	684	715	737	774	822	881	944
Debits	-734	-791	-748	-771	-799	-817	-838	-896	-961
Of which: interest on public debt	-24	-24	-23	-29	-29	-29	-29	-29	-32
Unrequited current transfers (net)	618	754	699	718	732	753	773	830	892
Private (net) 1/	566	722	659	677	698	713	729	780	837
Public (net)	52	33	40	41	34	39	45	50	55
Of which: budgetary grants	53	38	46	45	36	38	41	44	47
Capital and financial account	690	745	707	523	622	688	768	852	915
Capital account	182	111	144	115	172	180	189	199	209
Private capital transfers	7	8	8	8	9	9	9	9	10
Project grants	86	101	136	107	114	121	130	139	149
Debt cancellation and other transfers 2/	89	2	0	0	50	50	50	50	50
Financial account	508	634	563	407	449	507	579	654	706
Direct investment	131	122	98	112	127	162	192	261	272
Portfolio investment	29	21	27	38	63	53	51	71	39
Other investment	348	491	438	257	259	293	336	322	395
Public sector (net)	97	208	341	154	143	158	176	136	244
Of which: disbursements	158	264	363	205	223	240	260	288	307
program loans	19	70	55	29	32	34	37	39	42
project loans	138	192	128	176	191	206	223	249	265
other	2	2	180	0	0	0	0	0	0
Of which: SDR allocation	0	0	93	0	0	0	0	0	0
amortization	-54	-44	-50	-51	-80	-83	-84	-152	-63
Private sector (net)	254	279	98	102	116	135	160	186	152
Errors and omissions	-4	5	0	0	0	0	0	0	0
Overall balance	51	-105	183	-32	17	33	58	79	107
Financing	-51	105	-183	9	-17	-33	-58	-79	-107
Net foreign assets (BCEAO)	-75	-8	-179	-3	-27	-43	-68	-88	-116
Net use of Fund resources	0	17	47	0	-2	-3	-3	-9	-18
Purchases/disbursements	0	17	47	0	0	0	0	0	0
Repurchases/repayments	0	0	0	0	-2	-3	-3	-9	-18
Other	-75	-25	-226	-2	-26	-41	-65	-80	-98
Deposit money banks	3	98	-24	-7	-7	-7	-8	-8	-9
Payments arrears ("-" = reduction)	0	0	0	0	0	0	0	0	0
Exceptional financing	21	16	20	18	17	18	18	18	18
Residual financing gap 3/	0	0	0	24	0	0	0	0	0
<i>Memorandum items:</i>									
Current account balance									
Including current official transfers (percent of GDP)	-11.8	-14.3	-8.7	-8.7	-9.0	-9.1	-9.2	-9.4	-9.2
Excluding current official transfers (percent of GDP)	-13.2	-15.3	-9.8	-9.8	-9.9	-10.0	-10.2	-10.3	-10.1
Gross official reserves (imputed reserves, billions of US\$)	1.6	1.5	2.1	2.0	2.1	2.1	2.3	2.4	2.6
(percent of broad money)	37.2	37.1	43.4	39.8	36.8	34.6	33.0	31.3	30.7
WAEMU gross official reserves (billions of US\$)	10.7	10.5	13.8	...	...	...	...	...	...
(percent of broad money)	56.6	55.0	58.7	...	...	...	...	...	...
(months of WAEMU imports of GNFS)	6.2	5.7	7.4	...	...	...	...	...	...
Gross domestic product	5,405	5,935	5,999	6,345	6,742	7,197	7,696	8,241	8,836

Sources: Central Bank of West African States (BCEAO); and IMF staff estimates and projections.

1/ Upwardly revised from 2008 based on a new survey of workers' remittances.

2/ Includes receipts from sale of a telecom license in 2007 and MCA grants during 2011-15.

3/ Financing gap in 2010 to be filled with ESF drawing.

Table 3. Senegal: Government Financial Operations, 2007–15

	2007	2008	2009		2010		2011	2012	2013	2014	2015
			Prog.	Est.	Prog.	Proj.				Proj.	
	(Billions of CFA francs, unless otherwise indicated)										
Total revenue and grants	1,277	1,293	1,323	1,303	1,390	1,380	1,472	1,591	1,719	1,861	2,012
Revenue	1,139	1,153	1,160	1,121	1,242	1,228	1,322	1,431	1,548	1,678	1,816
Tax revenue	1,088	1,088	1,125	1,084	1,199	1,170	1,260	1,365	1,477	1,603	1,735
Income tax	232	273	284	287	300	303	328	357	389	424	463
Taxes on goods and services	628	616	625	615	663	660	709	767	832	902	979
Taxes on petroleum products	215	199	216	182	235	207	223	241	256	276	293
Nontax revenue	51	65	36	37	43	58	62	66	71	76	81
Grants	138	140	162	182	148	152	150	160	171	183	196
Budgetary	53	38	61	46	41	45	36	38	41	44	47
Budgeted development projects	86	101	101	136	107	107	114	121	130	139	149
Total expenditure and net lending	1,491	1,579	1,592	1,623	1,703	1,668	1,760	1,877	2,026	2,190	2,363
Current expenditure	881	979	957	993	989	989	1,043	1,108	1,185	1,270	1,367
Wages and salaries 1/	327	348	370	364	397	397	411	432	462	494	530
Interest due	34	39	48	41	53	53	62	70	77	84	97
Of which : external 2/	24	24	26	23	31	29	29	29	29	29	32
Other current expenditure	519	593	539	587	539	539	570	606	647	691	740
Transfers and subsidies 3/	287	333	270	286	250	250	266	284	303	325	348
Of which : SAR and butane subsidy	55	69	44	33	0	0	0	0	0	0	0
Of which: SENELEC	0	30	18	30	0	0	0	0	0	0	0
Of which: Food subsidies	21	46	0	0	0	0	0	0	0	0	0
Goods and services	217	239	256	292	277	277	293	311	332	355	380
HIPC and MDRI current spending	15	21	13	9	12	12	12	12	11	11	12
Capital expenditure 4/	605	595	633	627	713	678	717	769	841	920	996
Domestically financed	392	314	386	369	439	404	423	452	494	539	587
HIPC and MDRI-financed	60	63	42	60	48	48	48	46	46	47	48
Non-HIPC/MDRI financed	331	251	344	309	392	357	375	406	448	492	539
Externally financed	213	281	247	258	273	273	294	316	347	381	409
Net lending	5	5	2	3	2	2	0	0	0	0	0
Of which : On-lending	10	12	10	6	10	10	11	11	12	13	14
Selected public sector entities balance 5/	16	13	0	0	0	0	0	0	0	0	0
Primary fiscal balance	-163	-235	-221	-263	-260	-235	-227	-216	-231	-244	-254
Overall fiscal balance (including grants)	-198	-273	-269	-304	-313	-288	-289	-286	-307	-328	-351
Overall fiscal balance (excluding grants)	-336	-413	-431	-486	-462	-440	-438	-446	-478	-511	-547
Basic fiscal balance 6/	-54	-50	-119	-168	-119	-97	-74	-61	-62	-59	-64
Financing	198	273	269	304	313	288	289	286	307	328	351
External financing	131	224	292	245	191	192	202	209	227	203	279
Drawings	156	262	218	183	206	205	223	240	260	288	307
Program loans	19	70	63	55	30	29	32	34	37	39	42
Project loans	138	192	155	128	176	176	191	206	223	249	265
Amortization due	-54	-44	-50	-50	-52	-51	-80	-83	-84	-152	-63
Debt relief and HIPC Initiative assistance	21	16	20	20	18	18	17	18	18	18	18
T-bills and bonds issued in WAEMU	8	-9	14	4	20	20	43	34	33	49	18
Nonconcessional loans for infrastructure developmei	0	0	90	87	0	0	0	0	0	0	0
Domestic financing	58	124	19	151	182	103	97	77	81	125	23
Banking system 7/	98	-46	36	110	182	100	97	77	81	126	24
Of which : T-bills and bonds	136	-14	-26	52	69	59	128	103	100	148	53
Nonbank financing	-40	169	-17	41	-1	3	0	0	0	0	0
Settlement of payment delays 8/	0	-84	-66	-95	-83	-30	-11	0	0	0	0
Errors and omissions	9	9	0	3	0	0	0	0	0	0	0
Financing gap 9/	0	0	24	0	24	24	0	0	0	0	0
Memorandum items:											
Budgetary float (program definition)	55	66	45	45	45	45	45	45	45	45	0
New issues of government securities	183	131	127	147	177	220	...	...	...	...	...
Priority expenditure (percent of total expenditure) 10/	32	33	34	34	35	35	...	...	...	...	...
Gross domestic product	5,405	5,935	5,983	5,999	6,336	6,345	6,742	7,197	7,696	8,241	8,836

Sources: Senegalese authorities; and IMF staff estimates and projections.

1/ Excludes project-related wages and salaries, which are included in capital spending, and the salaries of autonomous agencies and health and education contractual workers, which are included in transfers and subsidies.

2/ From 2006 on, reflects post-MDRI debt service schedule.

3/ Excludes subsidies aimed at sector development policies, which are included in capital spending.

4/ Includes recapitalization of SENELEC. The government provided CFAF 65 billion in 2007 under domestically-financed capital expenditure, while budget support by the World Bank and France in 2008-10 specifically earmarked for the recapitalization is being provided under externally-financed capital expenditure.

5/ Local governments, autonomous public sector entities (e.g., hospitals, universities), and the civil servants pension fund (FNR).

6/ Total revenue minus total expenditure and net lending, excluding externally financed capital expenditure, on-lending, HIPC/MDRI expenditure, and 2010 clearing of extrabudgetary spending and agency debt.

7/ Includes the 10-year CFAF loan from the BCEAO in 2009 equal to the general SDR allocation.

8/ Within the expenditure chain in 2008-09, and extrabudgetary spending and agency debt in 2009-11.

9/ Financing gap in 2010 to be filled with ESF drawing.

10/ Defined as expenditures on health, education, environment, the judiciary, social development, sewage, and rural irrigation.

Table 4. Senegal: Government Financial Operations, 2007–15

	2007	2008	2009		2010		2011	2012	2013	2014	2015
			Prog.	Est.	Prog.	Proj.	Proj.				
(Percent of GDP)											
Total revenue and grants	23.6	21.8	22.1	21.7	21.9	21.8	21.8	22.1	22.3	22.6	22.8
Revenue	21.1	19.4	19.4	18.7	19.6	19.4	19.6	19.9	20.1	20.4	20.6
Tax revenue	20.1	18.3	18.8	18.1	18.9	18.4	18.7	19.0	19.2	19.4	19.6
Income tax	4.3	4.6	4.7	4.8	4.7	4.8	4.9	5.0	5.1	5.1	5.2
Taxes on goods and services	11.6	10.4	10.4	10.3	10.5	10.4	10.5	10.7	10.8	11.0	11.1
Taxes on petroleum products	4.0	3.4	3.6	3.0	3.7	3.3	3.3	3.3	3.3	3.4	3.3
Nontax revenue	0.9	1.1	0.6	0.6	0.7	0.9	0.9	0.9	0.9	0.9	0.9
Grants	2.6	2.4	2.7	3.0	2.3	2.4	2.2	2.2	2.2	2.2	2.2
Total expenditure and net lending	27.6	26.6	26.6	27.1	26.9	26.3	26.1	26.1	26.3	26.6	26.7
Current expenditure	16.3	16.5	16.0	16.5	15.6	15.6	15.5	15.4	15.4	15.4	15.5
Wages and salaries	6.1	5.9	6.2	6.1	6.3	6.3	6.1	6.0	6.0	6.0	6.0
Interest payments 1/	0.6	0.6	0.8	0.7	0.8	0.8	0.9	1.0	1.0	1.0	1.1
Other current expenditure	9.6	10.0	9.0	9.8	8.5	8.5	8.5	8.4	8.4	8.4	8.4
Of which: Goods and services	4.0	4.0	4.3	4.9	4.4	4.4	4.3	4.3	4.3	4.3	4.3
Of which: Transfers and subsidies	5.3	5.6	4.5	4.8	3.9	3.9	3.9	3.9	3.9	3.9	3.9
Of which: Energy and food subsidies	1.4	2.4	1.0	1.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
HIPC and MDRI current spending	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.1	0.1	...
Capital expenditure 2/	11.2	10.0	10.6	10.5	11.2	10.7	10.6	10.7	10.9	11.2	11.3
Domestically financed	7.2	5.3	6.5	6.2	6.9	6.4	6.3	6.3	6.4	6.5	6.6
Of which: Without transfers to PEs	6.0	4.7	6.5	6.2	6.9	6.4	6.3	6.3	6.4	6.5	6.6
Externally financed	3.9	4.7	4.1	4.3	4.3	4.3	4.4	4.4	4.5	4.6	4.6
Net lending	0.1	0.1	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Selected public sector entities balance 3/	0.3	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Primary fiscal balance	-3.3	-4.2	-3.7	-4.7	-4.1	-3.7	-3.4	-3.0	-3.0	-3.0	-2.9
Overall fiscal balance											
Payment order basis, excluding grants	-6.2	-7.0	-7.2	-8.1	-7.3	-6.9	-6.5	-6.2	-6.2	-6.2	-6.2
Payment order basis, including grants	-3.7	-4.6	-4.5	-5.1	-4.9	-4.5	-4.3	-4.0	-4.0	-4.0	-4.0
Basic fiscal balance 4/	-1.0	-0.8	-2.0	-2.8	-1.9	-1.5	-1.1	-0.8	-0.8	-0.7	-0.7
Financing	3.7	4.6	4.5	5.1	4.9	4.5	4.3	4.0	4.0	4.0	4.0
External financing	2.4	3.8	4.9	4.1	3.0	3.0	3.0	2.9	2.9	2.5	3.2
Domestic financing	1.1	2.1	0.3	2.5	2.9	1.6	1.4	1.1	1.0	1.5	0.3
Settlement of payment delays 5/	0.0	-1.4	-1.1	-1.6	-1.3	-0.5	-0.2	0.0	0.0	0.0	0.0
Errors and omissions	0.2	0.2	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap 6/	0.0	0.0	0.4	0.0	0.4	0.4	0.0	0.0	0.0	0.0	0.0
Memorandum items:	(Percent of GDP, unless otherwise indicated)										
Priority expenditure 7/	8.9	8.9	9.1	9.1	9.3	9.3	...	...	...	...	...
Wages and salaries (percent of revenue)	28.7	30.2	31.9	32.5	32.0	32.3	31.1	30.2	29.8	29.5	29.2

Sources: Senegalese authorities; and IMF staff estimates and projections.

1/ From 2006 on, reflects post-MDRI debt service schedule.

2/ Includes SENELEC recapitalization. The government provided CFAF 65 billion in 2007 under domestically-financed capital expenditure, while earmarked budget support by the World Bank and France in 2008-10 is being provided under

3/ Local governments, autonomous public sector entities (e.g. hospitals, universities), and the civil servants pension fund (FNR).

4/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure, on-lending, HIPC/MDRI expenditure, and 2010 clearing of extrabudgetary spending and agency debt.

5/ Within the expenditure chain in 2008-09 and extrabudgetary spending and agency debt in 2009-11.

6/ Financing gap in 2010 to be filled with ESF drawing.

7/ Defined as expenditures on health, education, environment, the judiciary, social development, sewage, and rural irrigation.

Table 5. Senegal: Monetary Survey, 2005–10

	2005	2006	2007	2008	2009 Est.	2010 Proj.
(CFAF billions)						
Net foreign assets	660	780	851	762	859	868
Central Bank of West African States (BCEAO) 1/	487	569	644	653	725	728
Commercial banks	173	210	207	109	133	140
Net domestic assets	894	972	1,122	1,245	1,367	1,592
Net domestic credit	1,032	1,122	1,324	1,467	1,604	1,825
Net credit to the government	-35	11	96	28	112	217
Central bank	84	45	55	-14	119	169
Commercial banks	-123	-46	21	33	-9	45
Other institutions	4	12	20	9	2	2
Credit to the economy	1,067	1,111	1,228	1,440	1,492	1,608
Other items (net)	-138	-151	-202	-223	-236	-233
Broad money (M2)	1,553	1,751	1,973	2,007	2,219	2,459
Currency outside banks	378	453	485	474	495	518
Total deposits	1,176	1,298	1,488	1,532	1,724	1,941
Demand deposits	593	652	784	779	857	1,022
Time deposits	582	646	705	754	867	919
(Change in percentage of beginning-of-period broad money stock)						
Net foreign assets	-1.2	7.7	4.1	-4.5	4.8	0.4
BCEAO	0.7	5.3	4.3	0.4	3.6	0.1
Commercial banks	-1.8	2.4	-0.2	-5.0	1.2	0.3
Net domestic assets	8.6	5.0	8.6	6.2	6.1	10.1
Net credit to the government	-4.1	3.0	4.9	-3.5	4.2	4.7
Credit to the economy	14.5	2.9	6.7	10.7	2.6	5.2
Other items (net)	-1.8	-0.8	-2.9	-1.0	-0.7	0.1
Broad money (M2)	7.4	12.7	12.7	1.7	10.6	10.8
<i>Memorandum items:</i>	(Units indicated)					
Velocity (GDP/M2; end of period)	3.0	2.8	2.7	3.0	2.7	2.6
Nominal GDP growth (percentage growth)	8.3	6.5	10.5	9.8	1.1	5.8
Credit to the economy (percentage growth)	24.5	4.2	10.5	17.2	3.6	7.8
Credit to the economy/GDP (percent)	23.2	22.7	22.7	24.3	24.9	25.3
Variation of net credit to the government (from previous year; CFAF billions)	-59.2	46.3	85.1	-68.3	83.7	104.9
Central bank refinance rate (eop/latest; percent)	4.00	4.25	4.25	4.75	4.25	4.25

Sources: Senegalese authorities; and IMF staff estimates and projections.

1/ Difference in 2009 between changes in NFA and NIR due to SDR allocation.

Table 6. Financial Soundness Indicators for the Banking Sector, 2002–09
(Percent, unless otherwise indicated)

	2002 Dec.	2003 Dec.	2004 Dec.	2005 Dec.	2006 Dec.	2007 Dec.	2008 Dec.	2009 Dec.
Capital adequacy								
Capital to risk-weighted assets	16.0	11.7	11.5	10.8	12.9	13.5	13.8	16.3
Regulatory capital to risk-weighted assets	15.5	12.1	11.9	11.1	13.1	13.6	13.9	16.5
Capital to total assets	10.3	7.8	7.7	7.6	8.3	8.3	9.1	9.3
Asset composition and quality								
Total loans to total assets	58.3	59.6	57.1	64.0	63.8	58.8	62.8	59.5
Concentration: loans to 5 largest borrowers to capital	104.9	141.0	131.4	179.9	103.7	88.5	86.9	88.1
Sectoral distribution of loans								
Industrial	36.4	41.1	33.6	35.5	28.9	25.1	19.5	27.5
Retail and wholesale trade	22.2	19.9	19.3	17.0	18.9	14.4	18.5	24.5
Services, transportation and communication	17.5	17.2	27.4	28.0	30.0	29.6	31.1	41.0
Gross NPLs to total loans 1/	18.5	13.3	12.6	11.9	16.8	18.6	19.1	18.7
Of which: without ICS	...	...	...	...	...	12.7	14.2	15.8
Provisions to NPLs 1/	70.5	75.3	75.7	75.4	52.0	53.8	51.5	53.1
Of which: without ICS	...	...	...	...	...	74.6	62.9	64.7
NPLs net of provisions to total loans 1/	5.5	3.3	3.4	3.2	8.8	8.6	9.3	9.7
Of which: without ICS	...	...	...	...	...	3.6	5.4	6.2
NPLs net of provisions to capital 1/	30.7	27.8	25.1	27.2	67.9	60.7	63.9	62.3
Of which: without ICS	...	...	...	...	...	23.8	35.3	38.4
Earnings and profitability								
Average cost of borrowed funds	2.2	1.8	2.0	2.0	2.2	2.3	2.8	...
Average interest rate on loans	9.7	8.7	11.7	11.8	11.3	11.6	13.9	...
Average interest margin 2/	7.6	6.7	9.7	9.8	9.2	9.4	11.1	...
After-tax return on average assets	1.8	1.8	1.8	1.6	1.6	1.6	1.4	...
After-tax return on average equity	21.1	22.1	17.6	15.8	14.6	15.3	13.0	...
Noninterest expenses/net banking income	45.5	48.9	48.7	47.9	49.4	50.7	51.3	...
Salaries and wages/net banking income	20.6	21.8	21.5	21.2	21.7	22.2	21.1	...
Liquidity								
Total deposits to total liabilities	78.5	82.0	79.6	78.3	75.8	73.6	70.3	74.9

Source: BCEAO.

1/ NPL changes in 2006 due to ICS. In 2008, ICS was recapitalized and the government guarantee for its bank loans was lifted. However, the loans in question remain classified as non-performing for the time being, although without the need to provision.

2/ Excluding the tax on banking operations.

Table 7. Quantitative Assessment Criteria (Performance Criteria) and Indicative Targets for 2009-10 1/
(CFAF billions, unless otherwise specified)

	December 31, 2009			March 31, 2010		
	Assessment criterion	Actual	Status	Indicative target	Actual	Status
Assessment (performance) criteria						
Floor on the basic fiscal balance 2/	-119	-168	Not met	-30	37	Met
Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government 3/ 4/	90 5/	87 5/	Met	0 6/	0	Met
Ceiling on spending undertaken outside normal and simplified procedures 4/	0	0	Met	0	0	Met
Ceiling on government external payment arrears (stock) 4/	0	0	Met	0	0	Met
Ceiling on the amount of the float (<i>dépenses liquidées non payées par le Trésor</i>) 7/	45	37	Met	45	40	Met
Indicative target						
Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)	20	6	Met	20	15	Met

1/ Indicative targets for March 2010, except for the assessment (performance) criteria monitored on a continuous basis.

2/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure, on-lending, and HIPC and MDRI spending. Cumulative since the beginning of the year. Total revenue excludes privatization receipts and sales of mobile telephone licenses.

3/ Excluding government or government-guaranteed CFAF borrowing from financial institutions within the WAEMU and external loans contracted by the airport project company (AIDB) to finance the construction of the new Dakar Airport.

4/ Monitored on a continuous basis.

5/ Cumulative since approval of second PSI review. The amount raised from CFAF 80 billion to CFAF 90 billion at the 4th review is to finance exclusively the Dakar-Diamniadio toll highway project.

6/ Cumulative since approval of fourth PSI review.

7/ Defined as all expenditure for which a bill has been received and recognized (*dépense liquidée*) but not yet paid by the Treasury.

Table 8. Senegal: Indicators of Capacity to Repay the Fund, 2008–20

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
	Projections											
Obligations to the Fund from existing drawings												
Principal (SDR millions)	0.0	0.4	2.1	3.5	3.5	11.6	20.9	19.2	17.8	17.8	9.7	0.0
Charges/Interest (SDR millions) 1/	0.2	0.1	0.1	0.3	0.3	0.3	0.2	0.2	0.1	0.1	0.0	0.0
Obligations to the Fund from prospective drawings 2/												
Principal (SDR millions)	0.0	0.0	0.0	0.0	0.0	0.0	3.2	6.5	6.5	6.5	6.5	3.2
Charges/Interest (SDR millions) 1/	0.0	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.0	0.0	0.0
Total existing and prospective obligations to the Fund 2/												
In millions of SDRs	0.2	0.4	2.2	3.8	3.8	11.9	24.5	25.9	24.4	24.4	16.2	3.3
In millions of U.S. dollars	0.3	0.6	3.3	5.9	5.9	18.3	37.5	39.7	37.5	37.4	24.9	5.0
In percent of exports of goods and services	0.0	0.0	0.1	0.2	0.1	0.4	0.8	0.8	1.1	1.0	0.6	0.1
In percent of debt service	0.2	0.4	1.4	2.4	2.4	4.7	15.6	15.6	14.1	13.4	9.2	1.7
In percent of quota	0.1	0.3	1.3	2.4	2.4	7.4	15.1	16.0	15.1	15.1	10.0	2.0
In percent of gross official reserves	0.1	0.0	0.2	0.3	0.3	0.8	1.4	1.4	1.3	1.2	0.7	0.1
Total Fund credit outstanding 2/												
In millions of SDRs	106.3	138.3	136.3	132.8	129.3	117.8	93.6	68.0	43.7	19.4	3.2	0.0
In millions of U.S. dollars	168.2	211.6	208.4	203.4	198.2	180.7	143.6	104.3	67.0	29.8	5.0	0.0
In percent of exports of goods and services	5.7	6.5	6.0	5.5	5.0	4.3	3.2	2.1	1.9	0.8	0.1	0.0
In percent of debt service	104.2	122.7	89.1	84.7	82.6	46.1	59.5	40.9	25.2	10.7	1.8	0.0
In percent of quota	65.7	85.5	84.2	82.1	79.9	72.8	57.9	42.0	27.0	12.0	2.0	0.0
In percent of gross official reserves	7.9	10.5	10.1	9.5	8.7	7.4	5.5	3.8	2.3	1.0	0.1	0.0
Memorandum items:												
Exports of goods and services (millions of US\$)	2,962	3,271	3,467	3,683	3,957	4,229	4,522	4,881	3,455	3,655	3,868	4,093
Debt service (millions of US\$)	161	172	234	240	240	392	241	255	266	279	272	293
Quota (millions of SDRs)	162	162	162	162	162	162	162	162	162	162	162	162
Gross official reserves (billions of US\$)	2.1	2.0	2.1	2.1	2.3	2.4	2.6	2.8	2.9	3.1	3.4	3.6
GDP (millions of US\$)	12,738	13,176	13,872	14,730	15,662	16,682	17,797	19,103	20,514	22,031	23,670	25,438

Sources: BCEAO; and Fund staff estimates and projections.

1/ Reflects temporary waiver of interest payments on concessional lending in 2010-11. No changes have been made in charges related to the SDR department.

2/ Based on an ESF disbursement of SDR 32.36 million (20 percent of quota) upon completion of the third ESF review, May 2010.

Table 9: Millennium Development Goals 1/

	1990	1995	2000	2005	2008
2015 target: Halve 1990 US\$1 /day poverty and malnutrition rate					
Goal 1: Eradicate extreme poverty and hunger					
Employment to population ratio, 15+, total (%)	67	67	66	65	66
Employment to population ratio, ages 15-24, total (%)	59	59	57	55	54
GDP per person employed (annual % growth)	-2	3	0	3	1
Income share held by lowest 20%	3.5	6.5	6.6	6.2	..
Malnutrition prevalence, weight for age (% of children under 5)	..	21.9	20.3	14.5	..
Poverty gap at \$1.25 a day (PPP) (%)	34	19	14	11	..
Poverty headcount ratio at \$1.25 a day (PPP) (% of population)	66	54	44	34	..
Prevalence of undernourishment (% of population)	28	32	..	26	..
Vulnerable employment, total (% of total employment)	83	..	..	..	..
2015 target: Net enrollment to 100					
Goal 2: Achieve universal primary education					
Literacy rate, youth female (% of females ages 15-24)	28	..	41	45	45
Literacy rate, youth male (% of males ages 15-24)	49	..	58	58	58
Persistence to last grade of primary, total (% of cohort)	..	..	63	53	..
Primary completion rate, total (% of relevant age group)	43	38	38	51	50
Total enrollment, primary (% net)	..	..	57	73	73
2015 target: Education ratio to 100					
Goal 3: Promote gender equality and empower women					
Proportion of seats held by women in national parliaments (%)	13	12	12	19	22
Ratio of female to male enrollments in tertiary education	..	..	..	46	55
Ratio of female to male primary enrollment	73	76	86	96	100
Ratio of female to male secondary enrollment	53	..	65	75	76
Share of women employed in the nonagricultural sector (% of total nonagricultural employment)	..	..	10.6	..	..
2015 target: Reduce 1990 mortality by two-thirds					
Goal 4: Reduce child mortality					
Immunization, measles (% of children ages 12-23 months)	51	80	48	74	84
Mortality rate, infant (per 1,000 live births)	72	72	66	61	59
Mortality rate, under-5 (per 1,000)	149	148	133	119	114
2015 target: Reduce 1990 maternal mortality by three-fourths					
Goal 5: Improve maternal health					
Adolescent fertility rate (births per 1,000 women ages 15-19)	..	114	109	105	104
Births attended by skilled health staff (% of total)	..	47	60	52	..
Contraceptive prevalence (% of women ages 15-49)	..	13	11	12	..
Maternal mortality ratio (modeled estimate, per 100,000 live births)	..	..	..	980	..
Pregnant women receiving prenatal care (%)	..	82	79	87	..
Unmet need for contraception (% of married women ages 15-49)	..	35	..	32	..
2015 target: Halt and begin to reverse, AIDS and other major diseases					
Goal 6: Combat HIV/AIDS, malaria, and other diseases					
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	..	..	36	27	22
Condom use, population ages 15-24, female (% of females ages 15-24)	..	..	..	5	..
Condom use, population ages 15-24, male (% of males ages 15-24)	..	..	..	48	..
Incidence of tuberculosis (per 100,000 people)	195	215	237	261	272
Prevalence of HIV, female (% ages 15-24)	..	..	..	0.8	0.8
Prevalence of HIV, male (% ages 15-24)	..	..	..	0	0
Prevalence of HIV, total (% of population ages 15-49)	0.1	0.2	0.4	0.8	1.0
Tuberculosis cases detected under DOTS (%)	..	62	53	50	48
2015 target: Various, of which halve the percentage of population with no durable access to drinking water					
Goal 7: Ensure environmental sustainability					
CO2 emissions (kg per PPP \$ of GDP)	0.4	0.4	0.3	0.3	..
CO2 emissions (metric tons per capita)	0.4	0.4	0.4	0.4	..
Forest area (% of land area)	49	47	46	45	..
Improved sanitation facilities (% of population with access)	26	27	27	28	28
Improved water source (% of population with access)	67	69	72	77	77
Marine protected areas, (% of surface area)	..	..	..	0	..
Nationally protected areas (% of total land area)	..	..	..	11.2	11.2
2015 target: Various					
Goal 8: Develop a global partnership for development					
Aid per capita (current US\$)	108	76	43	61	71
Debt service (PPG and IMF only, % of exports, excluding workers' remittances)	18	16	13	6	4
Internet users (per 100 people)	0.0	0.0	0.4	4.8	8.4
Mobile cellular subscriptions (per 100 people)	0	0	3	15	44
Telephone lines (per 100 people)	1	1	2	2	2
Other	..	..	..	..	..
Fertility rate, total (births per woman)	6.7	6.1	5.6	5.2	5.0
GNI per capita, Atlas method (current US\$)	..	..	..	800	970
GNI, Atlas method (current US\$) (billions)	..	..	..	9.3	11.8
Gross capital formation (% of GDP)	9.1	13.6	20.5	29.7	30.2
Life expectancy at birth, total (years)	52	53	54	55	56
Literacy rate, adult total (% of people ages 15 and above)	27	..	39	42	42
Population, total (millions)	7.5	8.7	9.9	11.3	12.2
Trade (% of GDP)	57.6	68.2	65.1	69.5	72.4

Source: World Development Indicators database and Senegalese authorities for the 2015 targets ("Rapport de suivi des OMD", April 2010).

1/ Figures in italics refer to periods other than those specified.

APPENDIX I

LETTER OF INTENT

Dakar, Senegal
May 7, 2010

Mr. Dominique Strauss-Kahn
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, DC 20431

Dear Mr. Strauss-Kahn:

1. The attached Memorandum of Economic and Financial Policies (MEFP) reviews recent economic developments in Senegal and implementation of the government of Senegal's macroeconomic program under the three-year Policy Support Instrument (PSI), which was approved by the IMF Executive Board on November 2, 2007, and the Exogenous Shocks Facility (ESF) arrangement, approved on December 19, 2008 and augmented and extended on June 19, 2009. The attached MEFP builds on previous MEFPs and sets out the policies the government intends to implement, with emphasis on measures and objectives for the remainder of 2010. The ESF arrangement will expire on June 18, 2010 and the PSI on November 1, 2010.
2. Most of the quantitative assessment/performance criteria for end-December 2009 and all quantitative indicative targets for end-March 2010 were met. The target for the basic fiscal balance was exceeded by 0.8 percent of GDP, which is explained in part by revenues that were lower than projected at the time of the last review and by increased spending to meet urgent needs. In the future, the government will endeavor to offset higher-than-budgeted spending by restricting nonpriority expenditures. It is requesting a waiver for exceeding the ceiling on the basic fiscal deficit. The government is determined to pursue sound policies and to bring the overall fiscal deficit down to 4 percent of GDP in the medium term.
3. Structural reforms, which are focused on fiscal management, governance, and transparency, and the preparation of an action plan for the financial sector, have generally progressed in line with the program despite some delays. Given the complexity of the task, the development of procedures for the regularization of extrabudgetary commitments has taken more time than expected. On the other hand, in the interim the government has paid some agency debt and some extrabudgetary spending has already been incorporated in the budget. The government will present a supplementary budget to Parliament by May 15, 2010 that will contain specific line items to settle these payments. Debts that do not require a budgetary allocation will be presented in an annex to the law.

As indicated in the attached MEFP, the authorities are continuing to pursue an ambitious program of budgetary and financial reforms, as well as governance and energy sector reforms.

4. In light of overall program performance and based on the policies set forth in the attached MEFP, the government requests completion of the fifth review under the PSI and the third and final review under the ESF arrangement with a disbursement in the amount of SDR 32.36 million.

5. The government believes that the policies and measures set forth in the attached MEFP are sufficient to achieve the objectives of the PSI-supported program during the remaining months. It will promptly take any additional measures necessary for the achievement of the objectives of the program. The government will consult with the IMF—at its own initiative or whenever the Managing Director of the IMF requests such consultation—before adopting any such measures or changes to the policies described in the attached MEFP. The government will provide the IMF with such information as it may request in connection with the progress made in implementing the economic and financial policies and achieving the objectives of the program. It is expected that the sixth and final review under the PSI will be completed by end-October, 2010, as the instrument will expire on November 1, 2010. During the next review mission, the government intends to examine with the IMF staff the possibility of another program.

6. The government authorizes the IMF to publish this letter, the attached MEFP, and the related Staff Report, which also includes the Article IV consultation report and the Debt Sustainability Analysis.

Sincerely yours,

/s/

Abdoulaye Diop
Minister of State
Minister of Economy and Finance

Attachments: - Memorandum of Economic and Financial Policies (MEFP)
-Technical Memorandum of Understanding (TMU)

ATTACHMENT I

MEMORANDUM OF ECONOMIC AND FINANCIAL POLICIES

Dakar, May 7, 2010

I. INTRODUCTION

1. **This memorandum updates Senegal's economic program under the three-year Policy Support Instrument (PSI) for the period 2007–2010 and the Exogenous Shocks Facility (ESF) arrangement approved in December 2008.¹** The program supported under the PSI focuses on: (i) following a prudent fiscal policy and avoiding a recurrence of payment delays; (ii) strengthening governance and transparency; (iii) promoting private sector activity; and (iv) enhancing the contribution of the financial sector to the economy. This Memorandum describes recent economic developments and program implementation, and discusses the economic outlook for the rest of 2010 and the government's commitments regarding ongoing macroeconomic and structural reforms.
2. **The government remains committed to meeting the objectives of the program supported by the PSI.** It aims to preserve macroeconomic stability, foster good fiscal management and governance, strengthen growth driven by the private sector, and make rapid progress toward achieving the Millennium Development Goals (MDGs). In collaboration with the IMF, the government has demonstrated that it is determined to overcome the budget execution problems encountered in 2008. Decisive improvements were made in correcting payment delays to the private sector and implementing ambitious reforms to improve the efficiency and transparency of fiscal management. The settlement of extrabudgetary expenditures and public institution and agency debt still outstanding in 2010 and 2011 should make it possible to fully normalize relations with the private sector. This will also make it possible to broaden the focus of reform in Senegal.

II. RECENT ECONOMIC DEVELOPMENTS, SHORT-TERM OUTLOOK, AND PROGRAM PERFORMANCE

3. **Macroeconomic performance remains below trend.** The global financial crisis had a marked impact on Senegal's economy but domestic factors also played a role.
 - Real GDP growth was modest. In 2009, business activity remained weak. The general activity index (excluding agriculture and government) was flat for most of 2009 (year-on-year), but there was a modest upturn in activity in the last quarter. Estimated growth was around 1½ percent in 2009. The relatively robust performance of the primary sector is attributable primarily to favorable climatic conditions and a more dynamic agricultural policy. In the secondary sector, Industries Chimiques du Sénégal (ICS) continues to recover but was faced with

¹ Details of this program were set out in the initial MEFP of October 3, 2007 and in the MEFPs of May 30, 2008, December 5, 2008, June 5, 2009, and December 4, 2009.

significantly lower export prices. Results in the tertiary sector, a traditional engine of growth in the Senegalese economy, were poor.

- The financial and operational difficulties of SENELEC (the public electricity company) led to repeated power cuts that were detrimental to production and investment by private sector enterprises.
- Inflation measured by the consumer price index (year-on-year) has been negative since May 2009, largely because of a decline in food and energy prices.
- The external current account deficit is estimated to have improved compared to 2008, primarily as a result of the decline in oil and food prices for the year as a whole.

4. **Most quantitative program criteria for end-December 2009 were met.**

(a) The ceiling on the basic fiscal deficit was exceeded by 0.8 percent of GDP in 2009. The basic fiscal deficit at end-December 2009 was CFAF 168 billion, while the ceiling set in the program was CFAF 119 billion. Tax revenues from public entities were lower than anticipated as they accumulated tax arrears. At the same time, current spending was higher than expected in response to urgent needs. These expenditures were based on budget appropriations authorized through supplemental appropriation decrees. Current spending without firm spending limits in the budget, such as telephone, electricity, and water charges, was also higher than expected. However, the government continued to develop its investment program and capital spending reached 10½ percent of GDP. The government will endeavor to limit recourse to supplemental appropriation decrees and to better estimate spending that does not have firm spending limits in the budget, and it notes that it has restricted this type of spending starting with the 2010 budget. In the future, the government will endeavor to offset budgetary expenditure overruns by reducing nonpriority spending and will transmit all supplemental appropriation decrees to Parliament in a timely manner. In accordance with applicable law, the government will ratify supplemental appropriation decrees in the following initial or supplementary budget. Given the need to support demand in a very difficult external context and the measures that the government has taken, the government will request a waiver for exceeding the ceiling on the fiscal deficit. According to preliminary data, the (indicative) target for the basic fiscal balance at end- March 2010 was met.

(b) At end-December 2009, the budgetary float had declined to a normal level of CFAF 37 billion (⅔ percent of GDP) as compared to CFAF 175 billion (3 percent of GDP) in October 2008. At end-March 2010, the budgetary float amounted to CFAF 40 billion, below the (indicative) ceiling of CFAF 45 billion.

(c) The government did not accumulate any external payment arrears.

(d) In December 2009, the government successfully launched an international bond issue in the amount of US\$200 million (CFAF 87 billion) to finance the Dakar-Diamniadio highway, authorized under the program for up to CFAF 90 billion. The issue was oversubscribed. The five-year bond bears a nominal interest rate of 8.75 percent and an effective interest rate of 9.25 percent.

(e) The government has not approved any Treasury cash advances since end-2008 and has executed budget expenditure according to the normal and simplified procedures. As indicated above, in 2009 the government used supplemental appropriation decrees, in accordance with the organic law of 2001 and signed by the President of the Republic and the Prime Minister, to establish new budget appropriations for expenditures totaling CFAF 30 billion, approximately half of which were used to finance the wages of contractual workers in the education sector in order to avoid widespread strikes.

(f) The government limited single-tender contracts to 6 percent of all government procurement in the fourth quarter of 2009 and 15 percent in the first quarter of 2010 (compared to a program ceiling of 20 percent).

5. On the whole, structural reforms continued in line with program commitments. Most of the structural benchmarks were met:

(g) As last year, the government followed applicable budget execution and accounting closure rules. The cutoff date for budget commitments was November 30 and only a few minor commitments were contracted during the early part of December. The complementary period provided in the law, which ends the administrative phase of budget execution (payment orders) at December 31 (structural benchmark), was essentially respected. To the extent allowed by the available information, Treasury suspense accounts were closed at the end of February to reduce the volume of pending operations to the strict minimum at that time. After February 28, any operations from the previous fiscal year affecting the government's cash flow were charged to the current year. The data for fiscal year 2009 in the expenditure tracking system (SIGFIP) were finalized as of April 30, 2010. To achieve greater transparency, the provisional end-of-month data from SIGFIP and the government financial operations table (TOFE) were published on the website of the Ministry of Economy and Finance 10 and 45 days, respectively, after the end of the month, beginning with the November 2009 TOFE and the end-December 2009 SIGFIP.

(h) The government has issued a press release summarizing the results of the audit of extrabudgetary expenditure and public institution and agency debt, setting forth its general strategy for settling payments in the first supplementary budget for 2010 (structural benchmark, January 31, 2010). Following the audit by the Office of the Inspector-General of Finance (IGF), an independent external audit of extrabudgetary expenditure completed in June 2009 identified extrabudgetary spending in the amount of

CFAF 37 billion and public agency and institution debt of CFAF 67 billion as of December 31, 2008. Given the complexity of the task, more time was needed to determine the amount to be settled and to establish the detailed terms and conditions.

(i) The government has taken action following its study of tax expenditures, which revealed that tax expenditures and other types of tax exemption could exceed 3 percent of GDP. Bearing in mind the costs and benefits of specific tax expenditures, the government has established a plan of action identifying the key measures that could be eliminated and examining the legislative and regulatory amendments needed to eliminate them (structural benchmark, March 2010).

(j) The government has reviewed progress with the reform of the financial sector since the 2004 update of the 2001 national Financial Sector Assessment Program (FSAP) and the 2007 regional FSAP. The action plan for Senegal builds on existing plans and measures, identifies the reform manager, distributes the main tasks, and provides an indicative calendar for the reforms (structural benchmark, end-March 2010). The action plan is wide-ranging and includes measures in the following areas: banking and insurance sectors, microfinance institutions and other financial intermediaries, cash flow management, legal framework, and access to financial services.

(k) A supplementary budget will be submitted to Parliament no later than May 15 (structural benchmark). It will include the specific line items authorizing the Ministry of Finance to settle in 2010 the extrabudgetary arrears of ministries and public institutions and agencies and part of the public institution and agency debt identified in the July 2009 audit and not yet budgeted for. Debts not requiring a budgetary allocation will be presented in an annex to the supplementary budget. A detailed analysis conducted by the government has shown that in the interim some extrabudgetary expenditures have been included in the 2009 and 2010 budgets, all required transfers have been made to the public institutions and agencies, and these institutions now have full access to their Treasury deposits. Nevertheless, despite this progress, public institutions still have debts to the private sector, as well as tax and social security contribution debts, because of their own budgetary imbalances.

III. MACROECONOMIC POLICIES FOR THE REMAINDER OF 2010 AND FOR 2011

A. Outlook

6. **Economic activity in Senegal remains weak, but signs of recovery are appearing and the gradual upturn in the global economy should help to stimulate domestic activity.** Growth of about 3½ percent is expected in 2010, and inflation should return to about 2 percent as oil prices recover.

7. **Uncertainties remain high.** A more subdued international recovery than anticipated could slow remittances, official development assistance, exports, and foreign

direct investment and have a negative impact on growth. Continued implementation of energy sector reform is essential to minimize the risks that repeated power cuts pose for economic activity.

B. Fiscal and Financial Policy Stance

8. **The 2010 budget aims to reconcile several objectives: provide some support for overall demand, protect priority spending, and ensure debt sustainability.** Given the impact on revenue of a growth outlook that is slightly below forecasts at the time the budget was prepared, high current spending, and financing constraints, the budget deficit (including grants) will need to be reduced somewhat by restricting spending for a total amount of CFAF 35 billion. Social spending ministries (education and health) are not affected by this adjustment. The overall budget deficit (including grants) would be about 4½ percent of GDP in 2010, which is slightly below the level foreseen during the last review. The revised ceiling for the basic fiscal deficit in 2010 is CFAF 97 billion (CFAF 49 billion at end-June 2010—assessment criterion). However, in case privatization receipts occur in 2010, spending will correspondingly be reinstated up to the level in the initial budget for 2010. If privatization receipts occur in 2010, spending will be increased and the ceiling on the basic fiscal deficit correspondingly raised by up to CFAF 35 billion.

9. **Given that the supplementary budget based on the macroeconomic framework prepared with IMF staff will be submitted to Parliament no later than May 15 (structural benchmark) along with the press release, the government confirms that it is committed to rapidly and transparently settling all extrabudgetary arrears and public institution and agency debt.** According to the precise assessment prepared by the authorities, extrabudgetary expenditure in the amount of CFAF 30 billion and public institution and agency debt to the private sector in the amount of CFAF 16 billion remain to be cleared, of which at least 50 percent will be cleared by end-September 2010, in line with the commitment undertaken earlier to settle at least 50 percent of extrabudgetary arrears and public institution and agency debt identified in the July 2009 audit by end-September 2010 (structural benchmark, end-September 2010).

10. **The government will ask for another internal audit by the Office of the Inspector-General of Finance to verify that no new extrabudgetary commitments or new public institution and agency debt have been accumulated since end-2008.** The audit will assess the level of the debt at end-2009. The government will publish a new press release at end-September 2010 that will report on the results of the audit and summarize progress made in clearing the extrabudgetary commitments and public institution and agency debt, to the extent that all claims have not been regularized, and that will detail the next steps to complete this process (structural benchmark, end-September 2010).

11. **As part of the government's objectives, the composition of expenditure will receive greater attention.** Social spending will increase from 33 percent of total spending in 2008 to almost 35 percent in 2010. The government intends to increase these expenditures to 40 percent of GDP in the near future (the initial PRSP target for 2010 having proven to be overly ambitious). Spending on poverty reduction will be regularly monitored. To support the ongoing development of Senegal's physical infrastructure, which remains one of the government's key objectives, current expenditure on goods and services and transfers will be reduced as a percentage of GDP in 2010. This will free resources that will be used to finance a higher level of domestically financed capital expenditure.

12. **The government bases its medium-term fiscal policy stance on debt sustainability considerations and will continue to pursue a prudent fiscal policy.** It is committed to limiting the overall fiscal deficit to 4 percent of GDP over the medium term and to approximately 3.5 percent of GDP in the longer term. The government's semiannual public debt sustainability analysis will include a risk assessment for contingent liabilities arising from guarantees issued by the government to Public-Private Partnerships (PPPs) and operations of public enterprises.

13. **To ensure debt sustainability, the government will continue to favor concessional financing and, in general, will not contract or guarantee any new external borrowing on nonconcessional terms.** The government will consult with IMF staff in advance regarding any exceptions. Nonconcessional borrowing should be guided by debt sustainability considerations and should be linked to specific economically profitable projects for which sufficient external concessional financing or domestic and regional financing could not be mobilized.

14. **In the future, the government hopes to continue its policy of developing infrastructure and to benefit from the flexibility provided by the new rules on external debt.** It is working on new, large infrastructure projects, including the extension of the Dakar-Diamniadio highway. The government will work in close collaboration with its development partners to assess the economic profitability of these projects and identify the necessary financing. It is planning to have an assessment ready before the next PSI review so that concessional resources and domestic and regional financing may be supplemented, if necessary, with other nonconcessional resources as a last resort. The government is aware that any nonconcessional financing must be linked to economically profitable projects (evaluated by a reliable entity such as the World Bank) and should not jeopardize debt sustainability.

C. Structural Reforms

Budget reforms

15. **To build on progress already made, the government remains committed to continuing its ambitious budget reforms.** These reforms, based on an overall fiscal reform program supported by the development partners (in particular the IMF technical assistance report and the PEFA report), are essential to enhancing budget efficiency and transparency, while also helping to protect macroeconomic stability.

16. **As indicated above, the government will endeavor to limit recourse to supplemental appropriation decrees.** The government will also endeavor to maintain budgeted spending levels by offsetting expenditure overruns through equivalent reductions in other spending and will transmit all supplemental appropriation decrees to Parliament in a timely manner. In accordance with applicable law, the government will ratify supplemental appropriation decrees in the following initial or supplementary budget.

17. **The government has taken important steps to prevent the recurrence of public institution and agency debt.** It has based accountants in the public institutions and agencies to track budget execution and regularly report to the Treasury on the liquidity situation. To bolster agency cash flow, the government will ensure the timely processing (no later than 90 days after the Treasury receives the check) of transfers to the accounts of Treasury correspondents (particularly public institutions and agencies) and/or payments to enterprises for invoices by withdrawals from the correspondents' deposit accounts with the Treasury. To this end, the following measures will be applied: (i) a cash flow plan is established in advance between the Treasury and the correspondents and this plan is updated regularly; (ii) the Treasury is notified of transfer or payment intentions at least thirty days before the withdrawal or payment date.

18. **The government will continue to improve SIGFIP as a key budget monitoring system and will implement the recommendations of the IMF technical assistance missions in the area of public financial management.** Following the audit of SIGFIP and the two technical assistance missions in late 2009 that focused essentially on the expenditure chain and budget execution, a follow-up technical assistance mission took place in late February 2010. The government has made progress using SIGFIP and ASTER as complementary information systems to improve the preparation, execution, and tracking of fiscal and accounting operations and making the government financial operations table (TOFE) more reliable. In the short term the government intends to improve SIGFIP by incorporating payroll expenditure and implementing the SIGFIP-ASTER interface (structural benchmark, end-July 2010). Work on implementing the interface in the ASTER-SIGFIP direction continues. The interface will strengthen the linkages between fiscal and accounting operations and facilitate preparation of the

general account of the financial administration, thereby shortening the time required to prepare the final budget review laws (lois de règlement). Moreover, the auxiliary expenditure accounting module (CAD) will be operational in 2010. To press ahead with these reforms, a high-level information systems steering committee has been established within the Ministry of Economy and Finance.

19. **The preparation of draft budget review laws will continue.** The draft budget review law for 2008 was forwarded to the Audit Court by end-December 2009 and the one for 2009 will be forwarded to the Audit Court by end-September 2010.

20. **To improve its cash management, the government is updating the 2006 census of all government accounts, including public institution and agency accounts, with a view to finalizing the strategy to establish a single Treasury account.** All government accounts and public institution and agency accounts, including their bank accounts, will be listed. For each account the list will include the number, name of the holder, and the balances as at December 31, 2008 and 2009 (structural benchmark, July 2010). To ensure that the census is comprehensive, the government will ask ministries and public institutions and agencies for a list of accounts and authorization for their banks to provide the necessary information to the Treasury. The census is a significant step toward establishing a single Treasury account, which is an essential tool for improving the central government's daily liquidity management. The government also intends to strengthen liquidity tracking and forecasting at the Treasury by using all available information and requiring the cooperation of all government entities concerned.

21. **The government will also improve its debt management.** It recognizes the importance of collecting all the necessary information and involving all units concerned. The government intends to better coordinate the tracking of financing needs and management of the government's external and domestic debt, in line with the guidelines given by the National Public Debt Committee. All data on the public debt will be centralized whatever the origin of the loans contracted. In this way, the government envisages establishing a global debt management strategy. These measures could also help to improve indicators of public finance management capacity, such as the PEFA (Public Expenditure and Fiscal Accountability) assessments and CPIA (Country Policy and Institutional Assessments). To improve debt management, the government is also regularly updating the rolling two-year calendar for the issuance of public securities, either quarterly or after each issuance, in cooperation with the Central Bank of West African States (BCEAO).

22. **The process of evaluating and selecting public investment projects will be improved.** It will be based on the Prime Minister's circular of November 2008 and the commitments undertaken in the initial MEFP (para. 25) and the MEFP for the first review. New projects involving CFAF 500 million or more will be subject to a formal economic cost-benefit/profitability analysis on which the selection process will be based.

The government also plans to improve the method of determining the order of priority of projects. The government notes that the new airline that has just been created is a majority privately owned company that will not benefit from additional funds or guarantees from the government. Moreover, Air Sénégal International's cessation of operations has thus far required no financing from the government and no supplementary financing is expected.

Tax administration

23. **Following the analysis of tax expenditures, the government prepared an action plan designed to eliminate distortionary tax expenditures with significant budgetary cost.** For simplicity and effectiveness, the government will consolidate all legislation relating to domestic taxation in a single document by October 15, 2010 (structural benchmark, October 15, 2010). The government has also committed to conduct an ex ante impact evaluation prior to any adoption of new tax expenditures. This evaluation will be designed to rigorously analyze a measure's likely economic consistency, efficiency, and effectiveness and to reject it if these criteria are not met.

Energy sector

24. **Progress has been made since the last review with the ten measures set out by the government, in particular the implementation of the reform of SENELEC which is progressing satisfactorily, and also the following measures that are in the process of being carried out: strengthening the commercial performance of SENELEC and the process to penalize fraudulent activities, implementing the recommendations of the audit on accounting procedures, and implementing debt restructuring, cancellation, and rescheduling.**

The preliminary financial results of SENELEC for 2009 are below the forecasts made in November 2009. The government intends to take the following measures in the short-term:

- Adjust tariffs, if necessary, effective April 1, complementing the measures indicated above, to reduce the difference between tariffs and variations in production costs or the cost of energy purchases;
- Given SENELEC's tax arrears in 2009, ensure that tax payments by SENELEC are included in calculations of the company's financial stability and take all legal and regulatory measures to ensure that SENELEC regularly satisfies its tax and customs obligations. SENELEC will provide a statement of its tax and customs obligations, at a minimum on a quarterly basis, to the Minister of Finance;

- Return the GTI power station to service while maintaining existing contractual stipulations regarding the guarantee by the state without other financial risk for the government;
- Mobilize private bank loans in the amount of CFAF 36 billion against payment in two tranches in 2011 and 2012 of the balance of the 2008 compensation to SENELEC by the government for the freezing of electricity tariffs. However, the net debt by SENELEC to the government resulting from the agreement to offset mutual claims, as well as all new debt of SENELEC vis-à-vis the government accumulated in 2010, will be deducted from the bank loans before the proceeds are made available to SENELEC;
- Finalize the terms and conditions for restructuring SENELEC's short-term debt to reduce the stock of arrears and the high cost of debt servicing; and
- Undertake an assessment of the fuel supply and human resource management functions.

25. **The government is committed to implement a detailed action plan in line with regulations to meet the conditions of the second tranches of budget support from the World Bank and AFD relating to the restructuring of the sector, currently planned for 2011.** In cooperation with the World Bank and AFD, the government intends to unbundle SENELEC's activities (production, transport, and distribution) in the medium term and to finalize its strategy for private participation.

26. **To improve tracking by the authorities, the government has transferred the management of the amounts collected by SAR as FSIPP (*Fonds de Sécurisation des Importations en Produits Pétroliers*) assessments from the Treasury to the DGID.** Despite some implementation delays, the DGID has begun collecting FSIPP payments made by SAR clients. It deposits the payments in the account of the General Treasurer opened at the BCEAO that is dedicated to FSIPP. On the 25th of each month, the General Treasurer gives the BCEAO an order for a transfer to a SAR account opened at ECOBANK to allow the bank to be reimbursed. The government is committed to include all subsidies and transfers to SAR, including FSIPP payments collected by the DGID and all strategic investments in the oil sector, in the first supplementary budget for 2010.

Financial sector reforms

27. **There were some cash flow difficulties in the financial sector in late 2008 linked to domestic factors as well as the global crisis.** Nonperforming loans have stabilized, but several banks still fail to meet certain prudential regulations. Against this backdrop, the authorities are determined to make every effort to maintain stability in the financial sector. The government action plan lists measures taken to date and identifies priorities for the coming year. In particular, the authorities undertake to:

- (a) Continue to monitor the banks, including analyzing bank assets and liabilities, the nature and concentration of financing sources, liquidity relationships with parent countries or institutions in the same group abroad, and overall liquidity. It will also intensify discussions with the WAEMU authorities and supervisors of foreign institutions with a presence in Senegal;
- (b) Focus on macrofinancial risks arising from financing links between the government, private sector, and financial system. Banks will be subject to regular stress tests;
- (c) Step up consultations with the government and banks to anticipate financing and cash requirements of the government and private sector;
- (d) In consultation with the central bank, closely monitor the entry into force of the new minimum capital rules by end-2010. In this connection, a working group made up of officials from the BCEAO and a representative of the Ministry of Finance has been created in each WAEMU country at the initiative of the BCEAO and the Banking Commission to review the position of credit institutions likely to encounter difficulties in complying with the new rules and proposing targeted measures;
- (e) Further strengthen the capacity and resources of the directorate in charge of regulation and supervision of microfinance institutions within the Ministry of Economy and Finance.

28. **The government aims to improve the institutional, legal, and operational environment for private sector financing** to enhance household access to credit and expand financial intermediation. The following initiatives will be taken:

- (a) implementation of an action plan to increase the rate of bank penetration to 20 percent by end-2012 through, inter alia, government promotion of noncash means of payments;
- (b) establishment of a legal framework that supports the creation of credit information bureaus;
- (c) finalization of legislation governing financial leasing to promote financing of start-ups and growth of innovative small and medium-sized enterprises.

Developing the private sector and improving governance

29. **Accelerating growth requires rapid implementation of several key reforms.** The government is determined to accelerate the momentum to improve the business environment and reach international standards. Senegal's position in the World Bank's "Doing Business" indicators has fallen. Key areas for improvement include strengthening

contract enforcement, reducing delays in transferring property rights, modernizing labor legislation, simplifying customs procedures, and improving access to finance. The government specifically commits to achieve the following as soon as possible:

- (a) improve the efficiency of the commercial justice system by providing courts with the resources required for the expeditious handling of economic disputes and implementing administrative measures already identified;
- (b) reduce delays in the transfer of property rights as specified in office memoranda issued in 2008 and adopt and effectively implement the Prime Minister's circular regarding reductions in the time it takes to issue construction permits and hook up water, sewage, electricity, and telephone services;
- (c) extend possibilities for renewing fixed-term labor contracts;
- (d) implement the action plan that came out of the second national forum on credit, which took place on March 16 and 17, 2010, according to a timetable to be agreed.

30. The government is also introducing various measures designed to improve governance as follows:

- (a) finalizing legislation on government property and real estate: (i) the law on real estate ownership and its implementation decree; (ii) updating of the price schedules for government-owned property;
- (b) strengthening of the Audit Court by providing it with the appropriate level of resources and promoting the training of judges with the help of donors;
- (c) introducing measures to guarantee the availability of appropriate resources for the procurement regulatory agency (ARMP); and
- (d) introducing measures to ensure that the National Commission to Enhance Transparency and Combat Corruption and Extortion has sufficient resources to perform its work.

IV. PROGRAM MONITORING

31. Quantitative assessment criteria for end-June 2010 and quantitative indicators for end-September 2010 have been set to monitor program implementation in 2010 (see Table 1 below). The government and IMF staff also agreed on the structural benchmarks listed in Table 2 below. The sixth review under the PSI is expected to be completed by end-October 2010. The PSI expires on November 1. The government is resolved to continue to work closely with the IMF. The terms and conditions for the continuation of this collaboration will be examined during the next mission.

Table 1 of MEFP. Quantitative Assessment Criteria and Indicative Targets for 2010 1/
(CFAF billions, unless otherwise specified)

	June 30, 2010		September 30, 2010
	Existing	Proposed	
Assessment criteria			
Floor on the basic fiscal balance 2/	-59	-49	-73
Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government 3/ 4/ 5/	0	0	0
Ceiling on spending undertaken outside normal and simplified procedures 4/	0	0	0
Ceiling on government external payment arrears (stock) 4/	0	0	0
Ceiling on the amount of the float (<i>depenses liquidees non payees par le Tresor</i>) 6/	45	45	45
Indicative target			
Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)	20	20	20

1/ Indicative targets for September 2010, except for the assessment criteria monitored on a continuous basis.

2/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure, on-lending, HIPC and MDRI spending, and payment of extrabudgetary spending and agency debt identified in the July 2009 audit and included in the first supplementary budget of 2010. Cumulative since the beginning of the year. Total revenue excludes privatization receipts and sales of mobile telephone licenses.

3/ Excluding government or government-guaranteed CFAF borrowing from financial institutions within the WAEMU and external loans contracted by the airport project company (AIDB) to finance the construction of the new Dakar Airport.

4/ Monitored on a continuous basis.

5/ Cumulative since approval of fourth PSI review.

6/ Defined as all expenditure for which a bill has been received and recognized (*dépense liquidée*) but not yet paid by the Treasury.

Table 2 of the MEFP: Structural Benchmarks, May–October 2010

Measures	MEFP §	Implementation Date	Macroeconomic Rationale
1. Submit a supplementary budget for 2010 to Parliament, based on the macroeconomic framework agreed with IMF staff, which includes specific line items authorizing the Ministry of Finance to settle in 2010 the extrabudgetary arrears of ministries and public institutions and agencies and part of the public institution and agency debt identified in the July 2009 audit and not yet budgeted for. Any debt settlement not requiring a budget allocation will be presented in an annex to the supplementary budget. This process is accompanied by a press release explaining the settlement terms and conditions.	5, 9	May 15, 2010	Complete the normalization of financial relations with the private sector.
2. Improve SIGFIP by including payroll expenditure and implementing the SIGFIP-ASTER interface.	18	July 31, 2010	Strengthen the monitoring of budget execution.
3. Conduct a census of all accounts of general government and public institutions, including the number, name of the holder, and the balances as of December 31, 2008 and 2009 for each account, with a view to adopting a strategy to establish a single Treasury account.	20	July 31, 2010	Improve the management of cash flows, as well as the transparency of operations.
4. Complete payment of at least 50 percent of extrabudgetary arrears and public institution and agency debt identified in the July 2009 audit.	9	September 30, 2010	Complete the normalization of financial relations with the private sector and improve the business climate.
5. Publish a press release reporting on the results of the internal audit, summarizing progress made to clear the extrabudgetary commitments and public institution and agency debt, and detailing the steps taken to complete this process.	10	September 30, 2010	Complete the normalization of financial relations with the private sector and improve the business climate.
6. Compile the general tax code and all legislation governing domestic taxation in a single document.	23	October 15, 2010	Further simplify the tax system.

ATTACHMENT II

TECHNICAL MEMORANDUM OF UNDERSTANDING

Dakar, May 7, 2010

1. This technical memorandum of understanding (TMU) defines the quantitative assessment (performance) criteria, indicative targets, and structural benchmarks on the basis of which the implementation of the Fund-supported program under the Policy Support Instrument (PSI) will be monitored in 2010. The quantitative program targets will also serve as performance criteria under the Exogenous Shocks Facility (ESF). The TMU also establishes the terms and time frame for transmitting the data that will enable Fund staff to monitor program implementation

I. PROGRAM CONDITIONALITY

2. The quantitative assessment criteria for June 30, 2010 and the quantitative indicative targets for September 30, 2010 are shown in Table 1. The prior actions and structural benchmarks established under the program are presented in Table 2.

II. DEFINITIONS, ADJUSTERS, AND DATA REPORTING

A. The Government

3. Unless otherwise specified below, the government is defined as the central administration of the Republic of Senegal and does not include any local administration, the central bank, or any government-owned entity with a separate legal personality (e.g., public universities and hospitals).

B. Basic Fiscal Balance (Program Definition)

Definition

4. The basic fiscal balance (program definition) is the difference between the government's budgetary revenue and total expenditure and net lending, excluding externally financed capital expenditure (financed by donors), drawings on on-lent loans (except on-lent loans to the energy sector financed through donor budgetary assistance), expenditure funded with HIPC- and MDRI-related resources, and expenditure related to the settlement of agency debt and extrabudgetary arrears identified in the July 2009 audit and included in the first supplementary budget for 2010. Budgetary revenue excludes privatization receipts and sales of mobile telephone licenses or other government assets. Government expenditure is defined on the basis of payment orders accepted by the Treasury (*dépenses ordonnancées prises en*

charge par le Trésor). This assessment/performance criterion is set as a floor on the cumulative basic fiscal balance since the beginning of the year.

Example

5. The floor for the basic balance (program definition) as at June 30, 2010 is – CFAF 49 billion. It is calculated as the difference between budgetary revenue (CFAF 614 billion) and total expenditure and net lending (CFAF 834 billion), excluding externally financed capital expenditure (CFAF 137 billion), drawings on on-lent loans (CFAF 5 billion), and expenditure funded with HIPC-and MDRI-related resources (CFAF 30 billion).

Reporting requirements

6. During the program period, the authorities will report provisional data on the basic fiscal balance (program definition) and its components monthly to Fund staff with a lag of no more than 30 days. Data on revenues and expenditure that are included in the calculation of the basic fiscal balance, and on expenditure financed with HIPC- and MDRI- related resources, will be drawn from preliminary Treasury account balances. Final data will be provided as soon as the final balances of the Treasury accounts are available, but not later than two months after the reporting of the provisional data.

C. Adjuster for the Basic Fiscal Balance

Definition

7. The floor on the basic fiscal balance does not take into account any privatization receipts. However, if privatization receipts occur in 2010, spending will be increased and the floor on the basic fiscal balance correspondingly raised by up to CFAF 35 billion.

Example

8. If CFAF 100 billion in privatization receipts were to become available in 2010, spending would be carried out in line with the initial budget and would be raised by CFAF 35 billion, from CFAF 1668 billion to CFAF 1703 billion. The floor on the basic fiscal balance would be lowered by CFAF 35 billion, from –CFAF 97 billion to –CFAF 132 billion.

D. Budgetary Float

Definition

9. The budgetary float (*instances de paiement*) is defined as the outstanding stock of government expenditure for which bills have been received and validated but not yet paid by the Treasury (the difference between *dépenses liquidées* and *dépenses payées*). The

assessment/performance criterion is set as a ceiling on the budgetary float, monitored at the end of the quarter.

Reporting requirements

10. The authorities will transmit to Fund staff on a weekly basis (i.e., at the end of each week), and at the end of each month, a table from the expenditure tracking system (SIGFIP) showing all committed expenditures (*dépenses engagées*), all certified expenditures that have not yet been cleared for payment (*dépenses liquidées non encore ordonnancées*), all payment orders (*dépenses ordonnancées*), all payment orders accepted by the Treasury (*dépenses prises en charge par le Trésor*), and all payments made by the Treasury (*dépenses payées*). The SIGFIP table will exclude delegations for regions and embassies. The SIGFIP table will also list any payments that do not have a cash impact on the Treasury accounts.

E. Spending Undertaken Outside Simplified and Normal Procedures

11. This assessment/performance criterion is applied on a continuous basis to any procedure other than the normal and simplified procedures to execute spending. It excludes only spending undertaken on the basis of an advance decree in cases of absolute urgency and need in the national interest, in application of Article 12 of the Organic Budget Law. Such spending requires the signatures of the President of the Republic and Prime Minister. This criterion has been monitored from the time of the second PSI review.

12. The authorities will report any such procedure, together with the SIGFIP table defined in paragraph 8, to Fund staff on a monthly basis with a maximum delay of 30 days.

F. Government External Payments Arrears

Definition

13. External payments arrears are defined as the sum of payments owed and not paid on the external debt contracted or guaranteed by the government. The definition of external debt given in paragraph 13 is applicable here. The assessment (performance) criterion on external payments arrears will be monitored on a continuous basis.

Reporting requirements

14. The authorities will promptly report any accumulation of external payments arrears to Fund staff.

G. Contracting or Guaranteeing of New Nonconcessional External Debt by the Government

Definition

15. This assessment/performance criterion applies not only to debt as defined in Point No. 9 of the Guidelines on Performance Criteria with Respect to Foreign Debt (Executive Board Decision No. 6230-(79/140), last amended by Executive Board Decision No. 12274-(00/85), adopted August 24, 2000, but also to commitments contracted or guaranteed by the government for which funds have not been received.¹ The criterion does not apply to:

- (i) CFAF debt contracted or guaranteed by the government with WAEMU residents;
- (ii) CFAF debt initially contracted or guaranteed by the government with WAEMU residents subsequently acquired by nonresidents;
- (iii) CFAF government or government-guaranteed debt where the agreement is between the government and a WAEMU resident entity and there is no ensuing contractual obligation between the government and a nonresident entity, regardless of whether the resident WAEMU entity resells the debt to a nonresident;
- (iv) debt rescheduling transactions of debt existing at the time of the approval of the PSI; and
- (v) external debt contracted by the airport project company (AIDB) to finance construction of the new Dakar Airport.

16. This criterion is measured on a cumulative basis from the time of approval of the fourth program review and applies continuously. No adjuster will be applied to this criterion.

17. For purposes of this assessment/performance criterion, government is understood to include the government as defined in paragraph 3 above, as well as public institutions of an industrial and commercial nature (EPIC), public administrative institutions (EPA), public institutions of a scientific and technical nature, public institutions of a professional nature, public health institutions, local administrations, public enterprises, and government-owned or controlled independent companies (*sociétés nationales*) (i.e., public enterprises with financial

¹ The following reference to the IMF's external website links to a tool that allows the calculation of the grant element for a broad range of financing packages
<http://www.imf.org/external/np/pdr/conc/calculator/default.aspx>

autonomy where the government holds at least 50 percent of the capital), and government agencies.

18. Any external debt of which the net present value, calculated with the reference interest rates mentioned hereafter, is greater than 65 percent of the nominal value (grant element of less than 35 percent) is considered nonconcessional, with the exception of IMF lending. For debt with a maturity of more than 15 years, the average of the ten-year commercial interest reference rates (CIRRs) published by the OECD is used to calculate the grant element. The average of the six-month CIRRs is used for debt with shorter maturities. For loans in foreign currencies for which the OECD does not calculate a CIRR, calculation of the grant element should be based on the CIRR in SDRs.

Reporting requirements

19. The government will report any new external borrowing and its terms to Fund staff as soon as external debt is contracted or guaranteed by the government.

H. Public Sector Contracts Signed by Single Tender

Definition

20. Public sector contracts are administrative contracts, drawn up and entered into by the government or any entity subject to the procurement code, for the procurement of supplies, delivery of services, or execution of work. Public sector contracts are considered “single-tender” contracts when the contracting agent signs the contract with the chosen contractor without competitive tender. The quarterly indicative target will apply to public sector contracts examined by the Central Public Procurement Directorate (DCMP).

Reporting requirements

21. The government will report quarterly to Fund staff, with a lag of no more than one month from the end of the observation period, the total value of contracts signed by all ministries and agencies and the total value of all single-tender contracts signed by these ministries and agencies.

III. ADDITIONAL INFORMATION FOR PROGRAM MONITORING

22. The authorities will transmit the following to Fund staff, with the maximum time lags indicated:

(a) Effective immediately: any decision, circular, edict, decree, ordinance, or law having economic or financial implications for the current program.

(b) With a maximum lag of 30 days, preliminary data on:

- Tax receipts and tax and customs assessments by categories, accompanied by the corresponding revenue;
- The monthly amount of expenditures committed, certified, and for which payment orders have been issued;
- The quarterly report of the Debt and Investments Directorate (DDI) on the execution of investment programs;
- The monthly preliminary government financial operations table (TOFE), based on the Treasury accounts;
- The provisional balance of the Treasury accounts; and
- Reconciliation tables between the SIGFIP table and the consolidated Treasury accounts, between the consolidated Treasury accounts and the TOFE for "budgetary revenues," between the consolidated Treasury accounts and the TOFE for "total expenditure and net lending," and between the TOFE and the net government position (NGP), on a quarterly basis.

(c) Final data will be provided as soon as the final balances of the Treasury accounts are available, but not later than one month after the reporting of provisional data.

23. During the program period, the authorities will transmit provisional data on current nonwage noninterest expenditures and domestically financed capital expenditures executed through cash advances to Fund staff on a monthly basis with a lag of no more than 30 days. The data will be drawn from preliminary consolidated Treasury account balances. Final data will be provided as soon as the final balances of the Treasury accounts are available, but no more than one month after the reporting of provisional data .

24. The government will transmit to Fund staff :

- The monthly balance sheet of the central bank, with a maximum lag of one month;
- The consolidated balance sheet of banks with a maximum lag of two months;
- The monetary survey, on a quarterly basis, with a maximum lag of two months;
- The lending and deposit interest rates of commercial banks, on a monthly basis; and

- Prudential supervision and financial soundness indicators for bank financial institutions, as reported in the Table entitled *Situation des Etablissements de Crédit vis-à-vis du Dispositif Prudentiel* (Survey of Credit Institution Compliance with the Prudential Framework), on a quarterly basis.

25. The government will update monthly on the website used for this purpose the amount of airport tax—*redevance de développement des infrastructures aéroportuaires* (RDIA)—collected, deposited in the escrow account, and used for the repayment of the loan financing the construction of the new airport.

APPENDIX II



INTERNATIONAL MONETARY FUND

Public Information Notice

EXTERNAL
RELATIONS
DEPARTMENT

Public Information Notice (PIN) No. 10/xx
FOR IMMEDIATE RELEASE
May [dd], 2010

International Monetary Fund
700 19th Street, NW
Washington, DC 20431
USA

IMF Executive Board Concludes 2010 Article IV Consultation with Senegal

On May [], 2010, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with Senegal.¹

Background

Following the food and fuel price shocks in 2008, economic activity slowed further in 2009 because of the global economic downturn and domestic shocks, including temporary electricity shortages.

Real GDP growth is estimated to have been 1½ percent in 2009. Lower external demand and downward pressure on remittances, tourism receipts, and FDI have impacted growth. The agricultural sector, which benefited from supportive policies and favorable weather, helped to mitigate the impact of depressed demand at home and abroad on the secondary sector (construction, energy) and particularly the tertiary sector (transport, tourism services). The drop in crude oil and food prices pushed down consumer prices. Some fiscal easing has helped to cushion the impact of the global financial crisis. The overall fiscal deficit widened to 5.1 percent of GDP in 2009 from 3.7 percent of GDP two years earlier on

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds discussions with each member, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities.

account of lower tax revenues and higher expenditure. Inflation has been negative since the second half of 2009. The current account deficit declined mainly because of lower energy and food prices.

There are signs that Senegal's economy has started to recover. Growth is projected to reach 3½ percent in 2010, driven by a pick-up in external demand and supportive domestic economic policies. Risks to the outlook relate to unexpectedly subdued external demand, financing constraints that limit the fiscal room for maneuver, and renewed problems with electricity supply. Opportunistic changes in economic policies for political reasons could also dampen prospects.

Senegal is pursuing its macroeconomic policies within an economic program supported by the IMF's Policy Support Instrument (PSI), which was approved in November 2007 (see [Press Release No. 07/246](#)). The authorities' program has four pillars: (i) containing the fiscal deficit to underpin macroeconomic stability and safeguard debt sustainability; (ii) improving fiscal governance and transparency so as to enhance policy credibility and sustain external assistance; (iii) encouraging private sector activity by improving the business environment and addressing structural impediments to economic growth and competitiveness; and (iv) limiting financial sector vulnerabilities and raising the sector's contribution to the economy.

Executive Board Assessment

Public Information Notices (PINs) form part of the IMF's efforts to promote transparency of the IMF's views and analysis of economic developments and policies. With the consent of the country (or countries) concerned, PINs are issued after Executive Board discussions of Article IV consultations with member countries, of its surveillance of developments at the regional level, of post-program monitoring, and of ex post assessments of member countries with longer-term program engagements. PINs are also issued after Executive Board discussions of general policy matters, unless otherwise decided by the Executive Board in a particular case.